



RETAIL ELECTRIC LIMITED

Electrical Appliances
Retailing Industry

Software: Xero Accounting Software
VAT Period: QE September 2025

Client's Background Information

PURCHASES

Home Appliances

Tools/Spare Parts

RETAIL ELECTRIC LTD

REPAIRMENT SERVICES

One-off

Service Plan

- ✚ Retail Electric Ltd. operates within the electrical appliances retail sector. The company offers a variety of household appliances, including washing machines, cookers, refrigerators, and microwaves.
- ✚ In addition to selling these products, Retail Electric employs a team of skilled engineers who handle appliance installation and related services.
- ✚ For its retail operations, the company procures washing machines, cookers, refrigerators, and microwaves for resale. It also purchases tools and spare parts to support its repair and maintenance services.





About Xero Software

[Xero](#) is a cloud-based accounting and bookkeeping software platform designed primarily for small businesses, freelancers, and startups. It allows business owners and their accountants to manage financial data in real time from any device with an internet connection, as it is **100% cloud-based**.

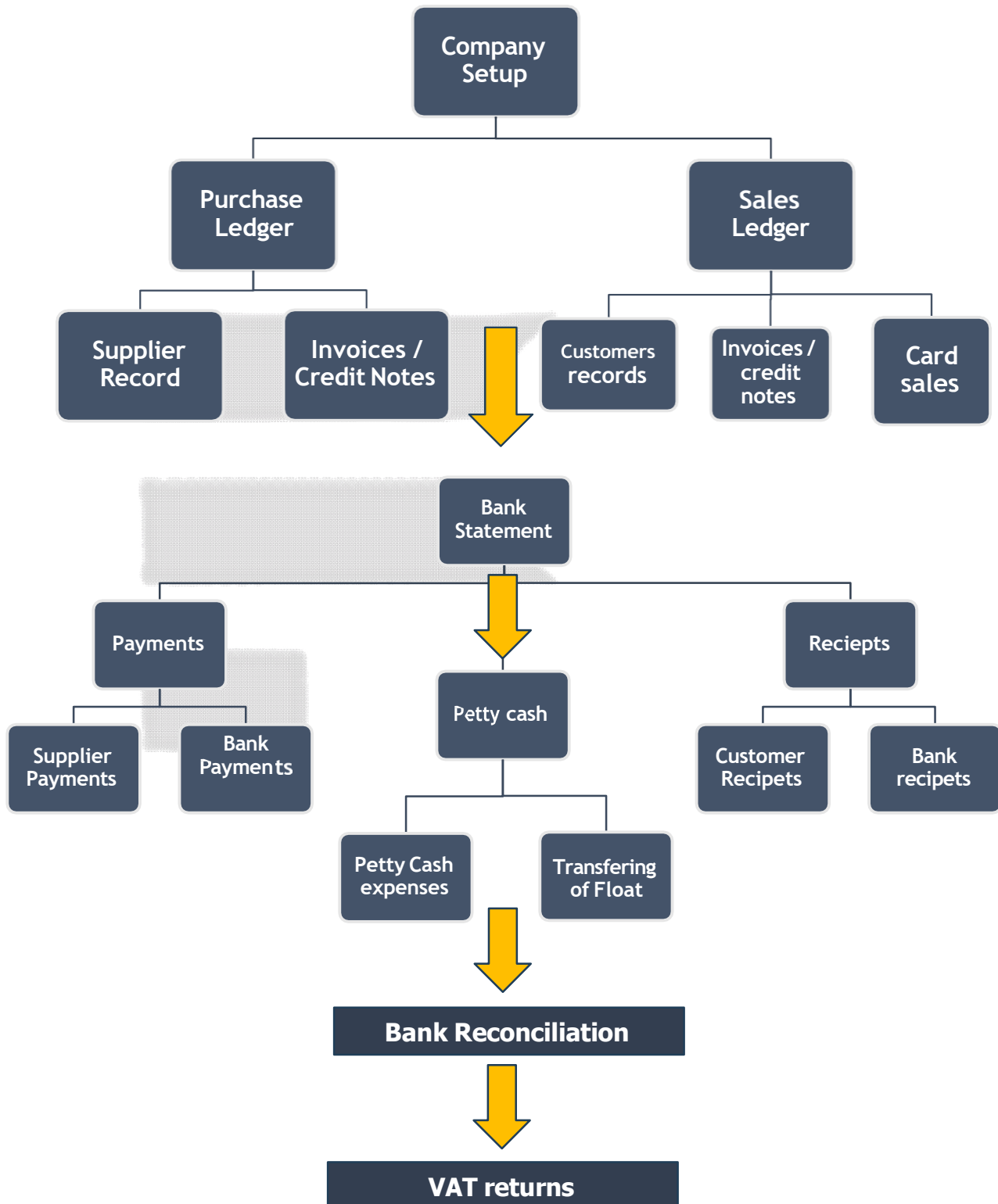
ACCESSED FROM ANY INTERNET-READY DEVICE, XERO'S KEY FUNCTIONS INCLUDE:

- **Invoicing and Billing:** Create and send professional online invoices, automate payment reminders, and track when customers view them.
- **Bank Reconciliation:** Automatically import bank transactions and use machine learning to suggest matches between bank data and recorded bills or invoices.
- **Expense Tracking:** Snap photos of receipts using the [Xero mobile app](#) to upload and categorise spending on the go.
- **Financial Reporting:** Generate real-time reports, including profit and loss statements, balance sheets, and cash flow forecasts.
- **Payroll Management:** Manage employee pay, tax deductions, and compliance reporting directly within the platform.
- **Inventory and Project Tracking:** Monitor stock levels and track time and costs for specific jobs or projects.



Note: For this client, for training purposes, we'll be fully focusing on Bookkeeping aspect of Xero.

Client Workflow



Company Set up

<https://www.xero.com/signup/>

Note: Under the Training Purposes, we'll be using Xero on a trial basis.

Start a 30-day free trial

Join over 4.6 million subscribers using Xero to power their business.

☒ No credit card required
 ☒ 24/7 online support
 ☒ Cancel any time

First name

Last name

Email

Phone

Location

☐ I've read and agreed to the terms of use, privacy notice and offer details:
[Terms of use](#), [privacy notice](#), and [offer details](#).

☐ Don't send me discounts or other useful messages from Xero

Next: Confirmation

Xero Setup

GO to the Xero website.

Click "Try Xero for free."

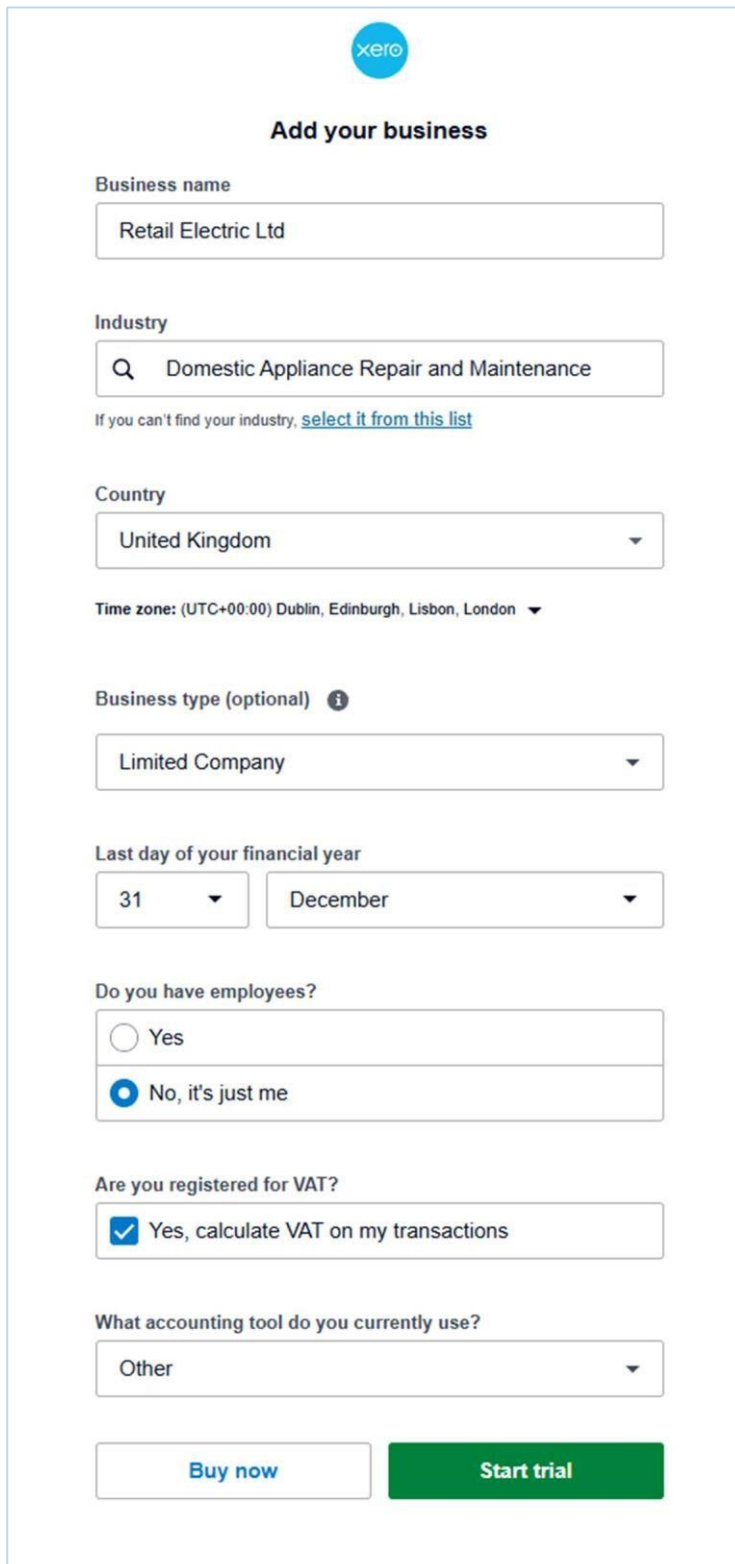
1). Enter your email and basic details.

2). Confirm your email.

3). Set up your organization (business name, country, etc.).

Note: Once you have registered for Xero trial, you'll get a confirmation on your Email from where you'll have to confirm and set a password for your Xero Account.

✦ Once the Company is created, you'll be redirected towards the **Xero Dashboard**.



Add your business

Business name
Retail Electric Ltd

Industry
Domestic Appliance Repair and Maintenance
If you can't find your industry, [select it from this list](#)

Country
United Kingdom

Time zone: (UTC+00:00) Dublin, Edinburgh, Lisbon, London

Business type (optional) ⓘ
Limited Company

Last day of your financial year
31 December

Do you have employees?
☐ Yes
☒ No, it's just me

Are you registered for VAT?
☒ Yes, calculate VAT on my transactions

What accounting tool do you currently use?
Other

[Buy now](#) [Start trial](#)

Follow the Information Provided to you in the image to create your Company into the Xero Software.

Important Note:
Since we're using Xero on trial basis you'll have 30 days.

Important:
If the trial has expired, you'll need to restart it with a new 30-day trial period. Any work completed during the previous trial will no longer be valid and cannot be continued in the new trial.

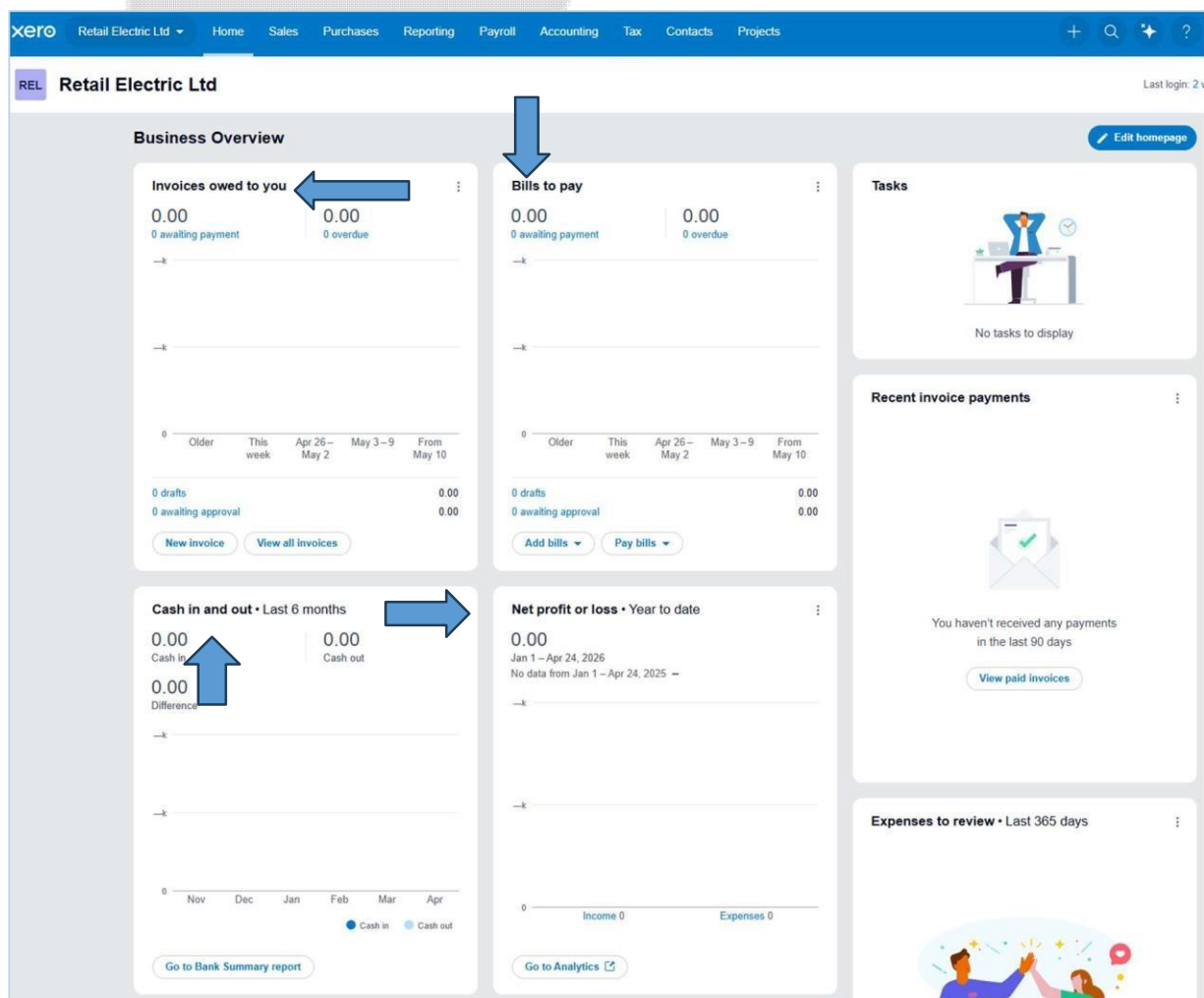
Once all the information has been entered, please go ahead and click on "Start trial"

Your company will be created in Xero



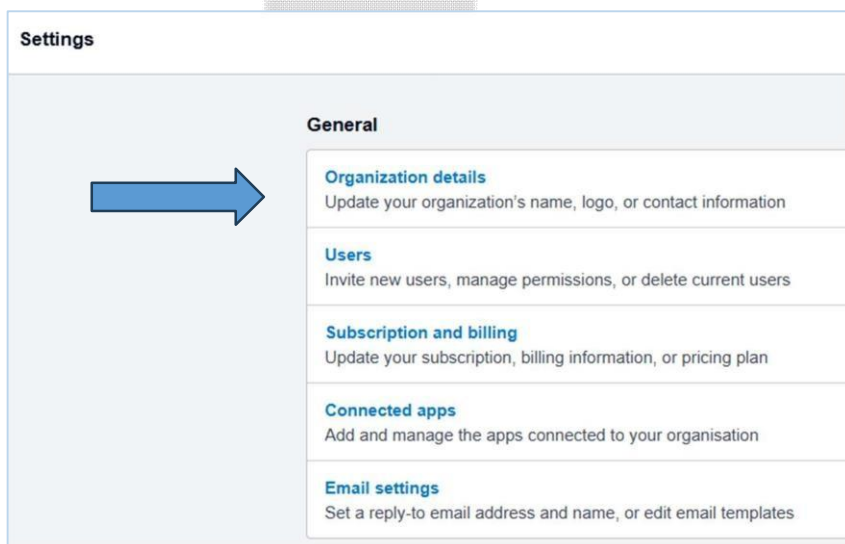
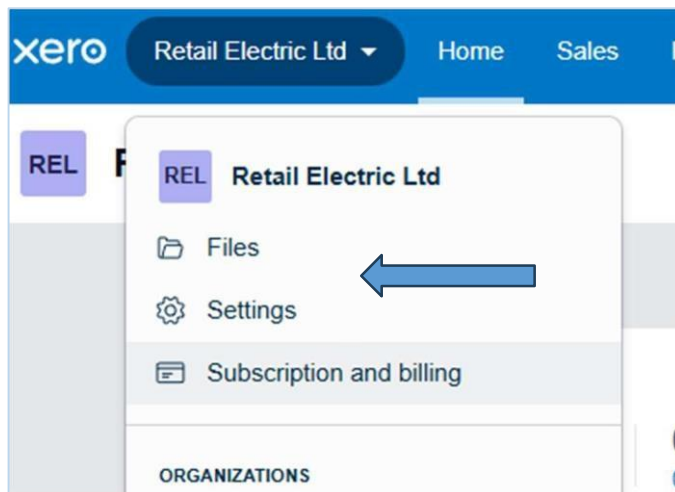
The dashboard uses interactive "widgets" to present various financial data points:

- **Bank Account Balances:** Displays the real-time balance of connected bank and credit card accounts, statement balances, and the number of unreconciled transactions.
- **Cash Flow (Cash in and out):** A visual graph showing money flowing in and out over the last six months to help you spot trends.
- **Invoices Owed to You:** A summary of outstanding and overdue invoices, helping you identify which customers need to be followed up with.
- **Bills You Need to Pay:** An overview of upcoming and overdue bills, allowing you to manage your own payment priorities.
- **Net Profit or Loss:** A snapshot comparison of income versus expenses for specific time periods like the current month or year-to-date.



SET THE ORGANIZATIONAL SETTINGS

For setting the organisation type, click on **Organisation name – settings - organisation details**.



☐ Display additional details on your [online invoices](#). Select the checkboxes next to the information you'd like displayed on your online invoices. Your online invoices will update after you **save this page**.

Basic Information

Logo 1



Upload logo
1MB total file size limit

Display name (required)
Retail Electric Ltd

Legal name (required)
Retail Electric Ltd

Industry
Domestic Appliance Repair and Maintenance

Business structure (required)
Limited Company

Company Registration Number
Official registration no. to appear on documents

Organization description

From here we can Add rest of the information for the company **E.G Address, social handles, contact information, Email Etc.**

Note: Under training purposes, we won't be filling in rest of the information for now.

Click on **Save**.

For VAT Scheme Settings, we'll go to **Accounting** and then **Accounting Settings**.

xero Retail Electric Ltd ▾ Home Sales Purchases Reporting Payroll **Accounting** Tax Contacts Projects

REL Retail Electric Ltd

Business Overview

Invoices owed to you

0.00 0.00

0 awaiting payment 0 overdue

BANKING

Bank accounts

Bank rules

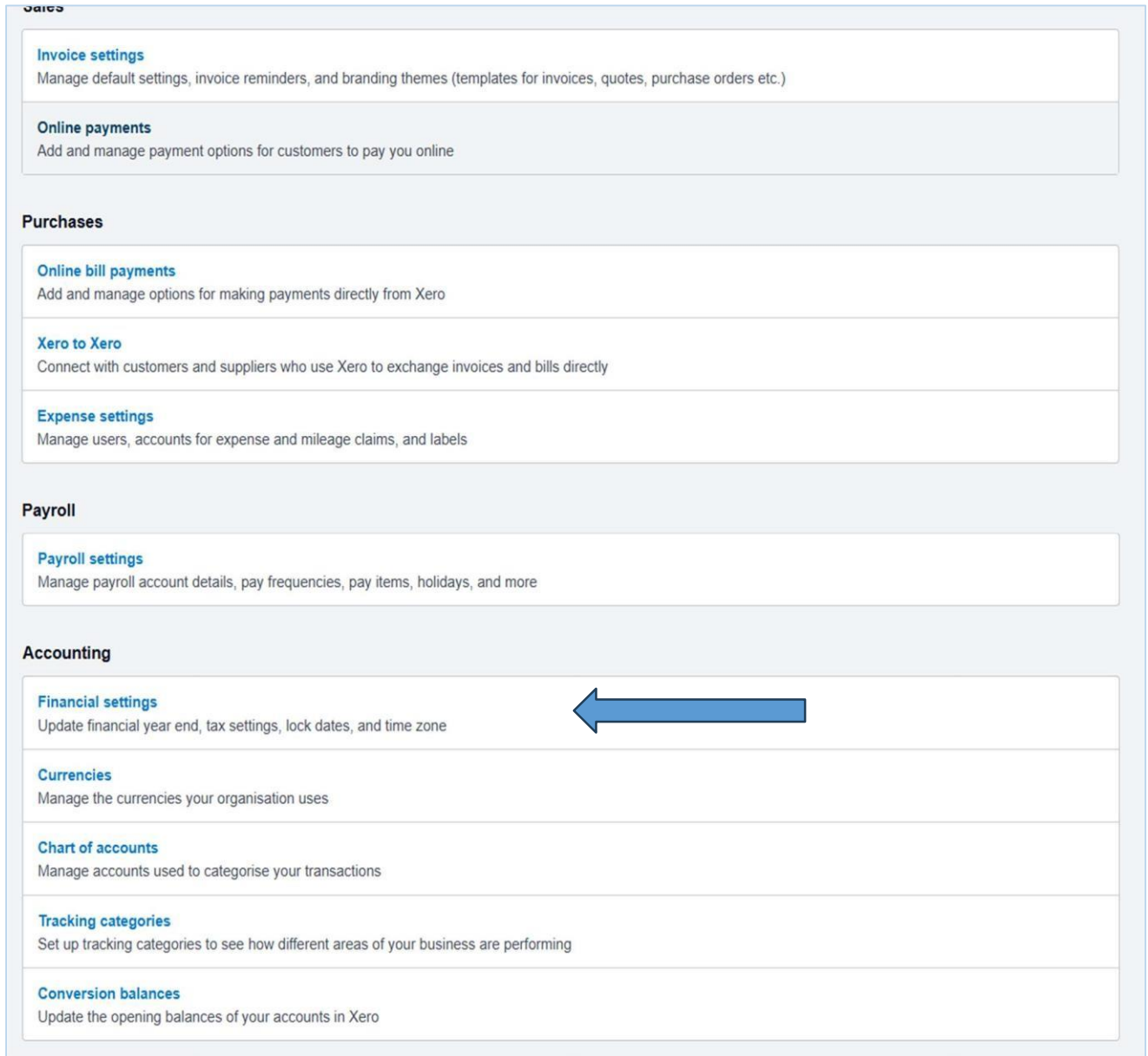
ACCOUNTING TOOLS

Chart of accounts

Fixed assets

Accounting settings 

Scroll down and Navigate to **Accounting** and Select **Financial Settings**



The screenshot shows the Xero settings interface. It is organized into several sections: Sales, Purchases, Payroll, and Accounting. The 'Accounting' section is expanded, showing options like Financial settings, Currencies, Chart of accounts, Tracking categories, and Conversion balances. A large blue arrow points to the 'Financial settings' option.

Sales

- Invoice settings**
Manage default settings, invoice reminders, and branding themes (templates for invoices, quotes, purchase orders etc.)
- Online payments**
Add and manage payment options for customers to pay you online

Purchases

- Online bill payments**
Add and manage options for making payments directly from Xero
- Xero to Xero**
Connect with customers and suppliers who use Xero to exchange invoices and bills directly
- Expense settings**
Manage users, accounts for expense and mileage claims, and labels

Payroll

- Payroll settings**
Manage payroll account details, pay frequencies, pay items, holidays, and more

Accounting

- Financial settings**
Update financial year end, tax settings, lock dates, and time zone
- Currencies**
Manage the currencies your organisation uses
- Chart of accounts**
Manage accounts used to categorise your transactions
- Tracking categories**
Set up tracking categories to see how different areas of your business are performing
- Conversion balances**
Update the opening balances of your accounts in Xero

After this, we'll be setting the **VAT Scheme** for this Client. We'll be going for an **Accrual-based scheme**, which is commonly known as the **Standard VAT scheme**. Enter the VAT registration number & select the **period**.

Financial Year End

We've introduced a new way to manage the financial year end

- Your current financial year end is set to **31 December**
- Learn about [new features and improvements we've made](#)

[Manage financial year end](#)

VAT

VAT Scheme

VAT Period

VAT Number

Accrual Scheme

Quarterly

123456789

Tax Defaults

For Sales

Tax exclusive

Includes invoices, quotes, credit notes and receive money items

For Purchases

Tax exclusive

Includes bills, purchase orders, credit notes, and spend money items

Construction Industry Scheme

Enables CIS in your chart of accounts, so you can file CIS Monthly Returns. [Learn more](#)

☐ I am a registered contractor
 ☐ I am a registered subcontractor

BACS

Your Service User Number / Owner ID number which allows you to pay via the BACS

Lock Dates

Lock dates stop data from being changed for a specific period. You can change these at any time.

The lock date for this organisation is not set.

Time zone

(UTC+00:00) Dublin, Edinburgh, Lisbon, London

Save

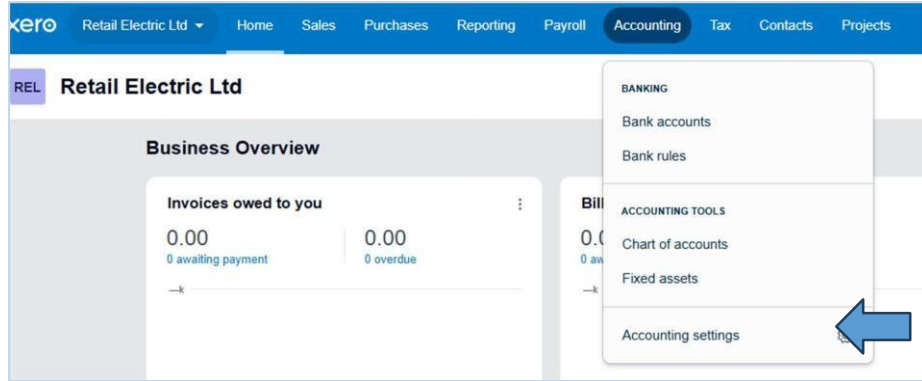
Cancel

1) The VAT Accrual Scheme (**also known as the Standard Scheme or Invoice Basis**) is a method where your account for VAT based on the date of the invoice, regardless of when the cash actually changes hands.

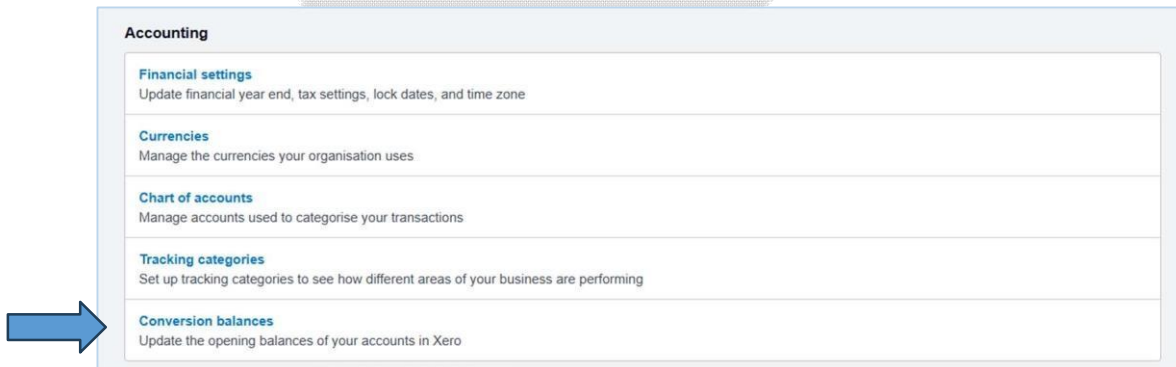
2) We'll Submitting the Vat to HMRC on a **Quarterly Basis (3 months)**. For this Compnay will be working on the 3rd Quarter from July till September.

After Entering the Information here as provided to you, please go Ahead and **click on Save**.

After the Vat Scheme has been saved, we'll be moving to and setting up the conversion date, and then going **to Accounting** and then **Accounting Settings**.



Scroll down and Navigate to **Accounting** and Select **Conversion Balances**



Settings >

Conversion balances

[+ Add Comparative Balances](#) [Conversion Date](#)

1 Jan 2026 - 31 Mar 2026

Enter your account balances as at 31 Mar 2026

Account	Debit	Credit
610 - Accounts Receivable	0.00	
800 - Accounts Payable		0.00
Add a new line Show all accounts Remove zero balances		
Total Debits	0.00	Total Credits 0.00
Adjustments 0.00 This accounts for the difference between debits and credits and for FX gains and losses		

[Save](#) [Cancel](#)

In **Xero**, the conversion balance date is the point where you begin using the system, and keeping your accounts aligned with your financial or VAT period In **Xero**.

As we're working on the data for **2025**, we have set up **Xero** as per that year we are working on.

Set up for the Conversion date as **"July 2025"**

Conversion Balances >

Conversion Date

Conversion Date

Enter the date that you began processing all your transactions in Xero. It's easiest when you set your conversion date to be the start of a VAT period. [Tips for Choosing a Conversion Date.](#)

Month Year

July 2025

For this conversion date you need to enter conversion balances (also known as opening balances) as at: **30 Jun 2025.**

Save Cancel

Click on **Save**

Settings >

Conversion balances

✓ Conversion date saved.

+ Add Comparative Balances Conversion Date

1 Jan 2025 - 30 Jun 2025



Charts of Accounts

The **Chart of Accounts (CoA)** in **Xero** acts as the essential filing system for your business, providing a structured framework to categorize every transaction—whether it's a sale, an expense, or a loan payment. By assigning each transaction to a specific account code, Xero can automatically generate critical reports like your **Profit and Loss** and **Balance Sheet**, ensuring your financial data is organized. Ultimately, it turns a messy pile of receipts into a clear picture of your business's health, making bank reconciliation faster and helping you make informed decisions based on where your money is actually going.

All accounts within the chart of accounts fall under **5 main classes**:

Range of Chart of Accounts in Xero

Revenue (200–299)

Expenses (300–499)

Assets (600–799)

Liabilities (800–999)

Equity (900–999)

Assets: what you own

Liabilities: what you owe

Equity: the owner's stake

Revenue: money you earn

Expenses: costs of running the business

You can view and manage these ranges by going to **Accounting > Chart of Accounts**.



Settings > **Chart of accounts**

 Categorise every transaction in Xero with our full [Chart of accounts](#)

Financial reports draw on each account to show how your business is performing

[Learn more](#) about customizing the chart of accounts

You're using the default chart of accounts. You can customise this, find out how in our [Help Centre](#).

[Add Account](#) [Add Bank Account](#) [Print PDF](#) [Import](#) [Export](#)

All Accounts Assets Liabilities Equity Expenses Revenue Archive

What's this? ⓘ

Delete Archive Change Tax Rate No accounts selected [Search](#)

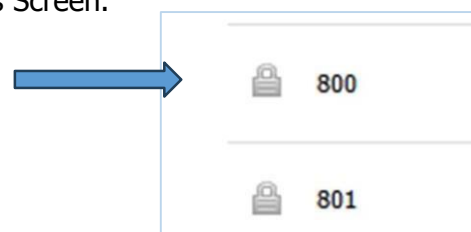
☐	Code	Name	Type	Tax Rate	YTD
☐	200	Sales Income from any normal business activity	Revenue	20% (VAT on Income)	0.00
☐	260	Other Revenue Any other income that does not relate to normal business activity and is not recurring	Revenue	20% (VAT on Income)	0.00
☐	270	Interest Income Gross interest income	Revenue	No VAT	0.00
☐	310	Cost of Goods Sold Cost of goods sold by the business	Direct Costs	20% (VAT on Expenses)	0.00
☐	320	Direct Wages Payment of wages/salary to an employee whose work can be directly linked to the product or service	Direct Costs	No VAT	0.00
☐	325	Direct Expenses Expenses incurred that relate directly to earning revenue	Direct Costs	20% (VAT on Expenses)	0.00
☐	400	Advertising & Marketing Expenses incurred for advertising and marketing	Overhead	20% (VAT on Expenses)	0.00
☐	401	Audit & Accountancy fees Expenses incurred relating to accounting and audit fees	Overhead	20% (VAT on Expenses)	0.00
☐	404	Bank Fees Fees charged by your bank for transactions regarding your bank account(s)	Overhead	No VAT	0.00
☐	408	Cleaning Expenses incurred for cleaning business property	Overhead	20% (VAT on Expenses)	0.00
☐	412	Consulting Payments made to consultants	Overhead	20% (VAT on Expenses)	0.00
☐	416	Depreciation Expense The amount of the asset's cost (based on the useful life) that was consumed during the period	Overhead	No VAT	0.00
☐	418	Charitable and Political Donations Payments made to charities or political organisations or events	Overhead	No VAT	0.00
☐	420	Entertainment-100% business Expenses incurred on entertainment by the business that for income tax purposes are fully deductible	Overhead	20% (VAT on Expenses)	0.00
☐	424	Entertainment - 0% Expenses incurred on entertainment by the business that for income tax purposes are not fully deductible	Overhead	No VAT	0.00

From here, you can see the Charts of Accounts for each type of income and expense, etc.

e.g., If you're purchasing goods for resale purposes, the COA will be **310**, and similarly, if you're selling the goods, **200**, etc.

Again, you're not Bound to use these same charts of accounts; you can always create your own COA for each of your expense, liability, asset, etc., that you see as appropriate for you or your Business

Note: Certain Accounts in Xero are locked system accounts which cannot be removed. This is due to the specific function that they serve in the organisation. **Locked accounts are identified by a padlock icon** on the chart of accounts Screen.

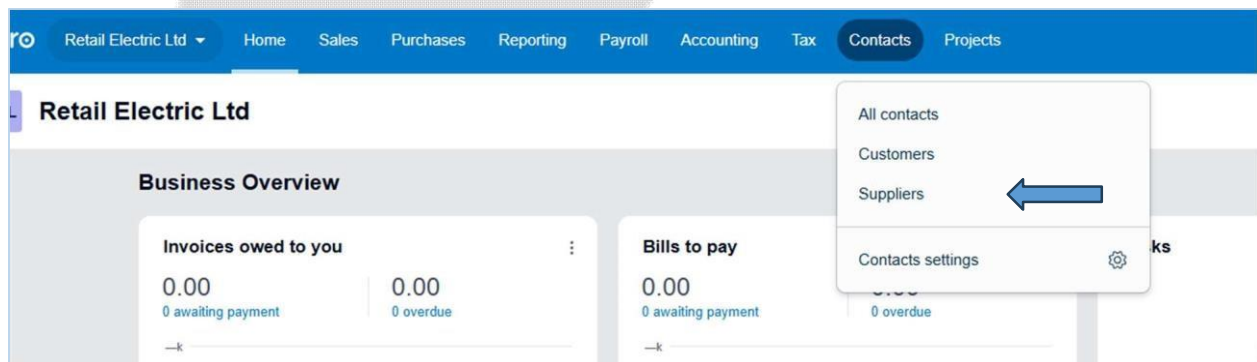


Creating Contacts

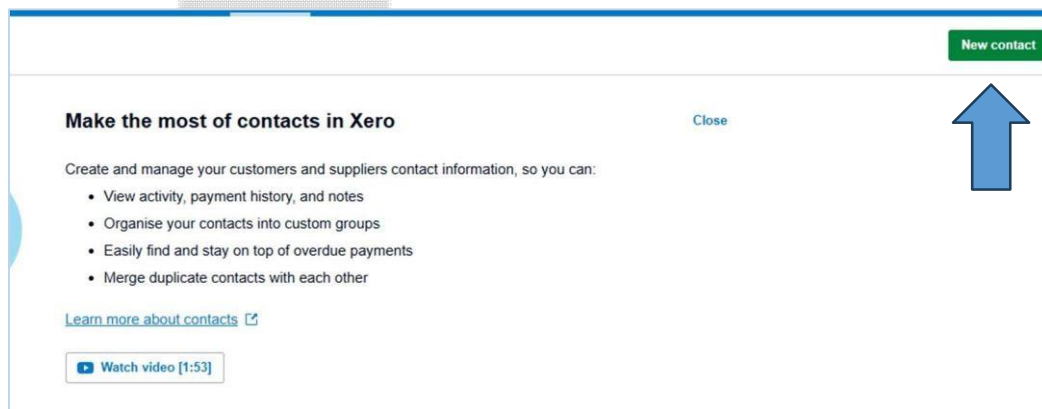
In Xero, supplier and customer records are called Contacts. When you enter the supplier records and customer records, Xero will give you all names under all contacts. Xero will recognize suppliers or customers when you enter the invoice.

SUPPLIER RECORDS

- To create a supplier record
- Click on Contacts- Suppliers



Click on **New Contact**



We are using **QE September**, so our 1st Supplier will be **Domestic Distribution**.



INVOICE

Invoice To :
Retail Electronics Limited
07/08/2025

Sale No : CM02244115 Customer : LDM003
Page No : 1 Sales person :
Order Ref : Dacb5a
Our Order : AM0235

Product Code/ Serial Number	Description	LS	Qty	VAT	Unit Pr	exc VAT	Value
BER-DF5533APW	Fridge Freezer	T	1	1	175.00		175.00

Code	Rate	Taxable	VAT	Total Net	
1	20.00%	175.00	35.00	Total Net	: 175.00
				Total VAT	: 35.00
				Total	: 210.00
				Amount Paid	: 0.00

Contact details

Addresses

Financial details

Default settings

Sales defaults

Purchase defaults

Contact details

Contact name (required)

Account number

Add a unique account number to identify, reference and search for the contact.

Primary person

First name	Last name

In the contact Name, write the Name of the Supplier that you are purchasing goods from As our first Supplier is a **domestic distributor**.

Note: For training purposes, we won't be filling in the address, contact details, etc., for the supplier, but in real life will be required.

After than Select **purchase Default**

Purchase defaults

Defaults can be overridden on individual spend money, bills and purchase orders

Purchase account

310 - Cost of Goods Sold

Bill due date

30 of the following month

Amounts are

Tax inclusive

Purchase VAT

20% (VAT on Expenses)

Cancel

Save & close

PURCHASE DEFAULTS:

- + **Purchase Account:** 310 Cost of Goods Sold
 - + **BILL DUE DATE:** 30 Days of the following month
 - + **ACCOUNTSARE:** Tax Exclusive
 - + **PURCHASE VAT:** 20% (VAT on Expenses)
- + After entering the purchase defaults, click on **Save & close**
And your Contact will be saved in Xero.

Why do we need to set up Purchase Defaults?

Because when you enter any invoice from the Domestic Distributors, the software will pick up the codes and these mentioned defaults automatically for you, making the invoice recording much easier and simpler.

Defaults are the pre-set settings that automatically fill in when you create a bill or expense (purchase transaction). They save time and help keep your recordings consistent.

1) For Domestic distributors, we'll use the Account **310- Cost of Goods Sold**, as we're buying retail products (fridge, oven, etc), as we're a retail store for home appliances, 310 would be the appropriate account.

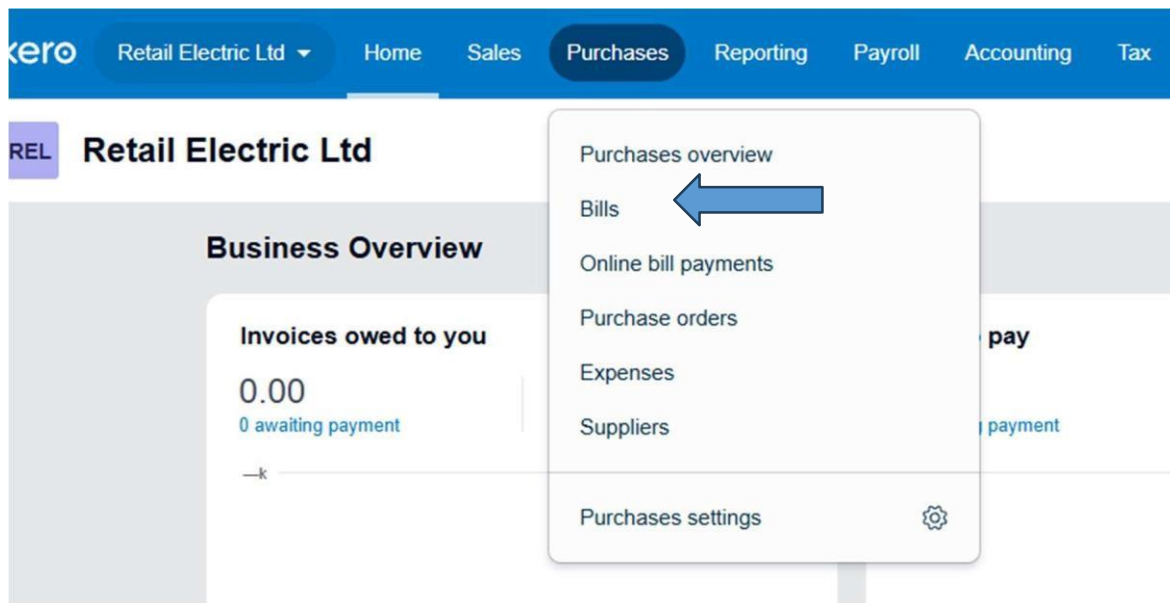
2) Bill due date, we're going to assume they are due **30 of the following month or Net of 30, for training purposes**, otherwise in real-life scenarios, you'll be informed of the actual **Due date**.

3) Tax inclusive and tax exclusive refer to how tax is applied to a product or service price. A tax-inclusive price means the **tax is already included** in the displayed amount, so the customer pays exactly what is shown, without any additional charges. While **tax-exclusive** pricing adds the tax later, increasing the total cost.

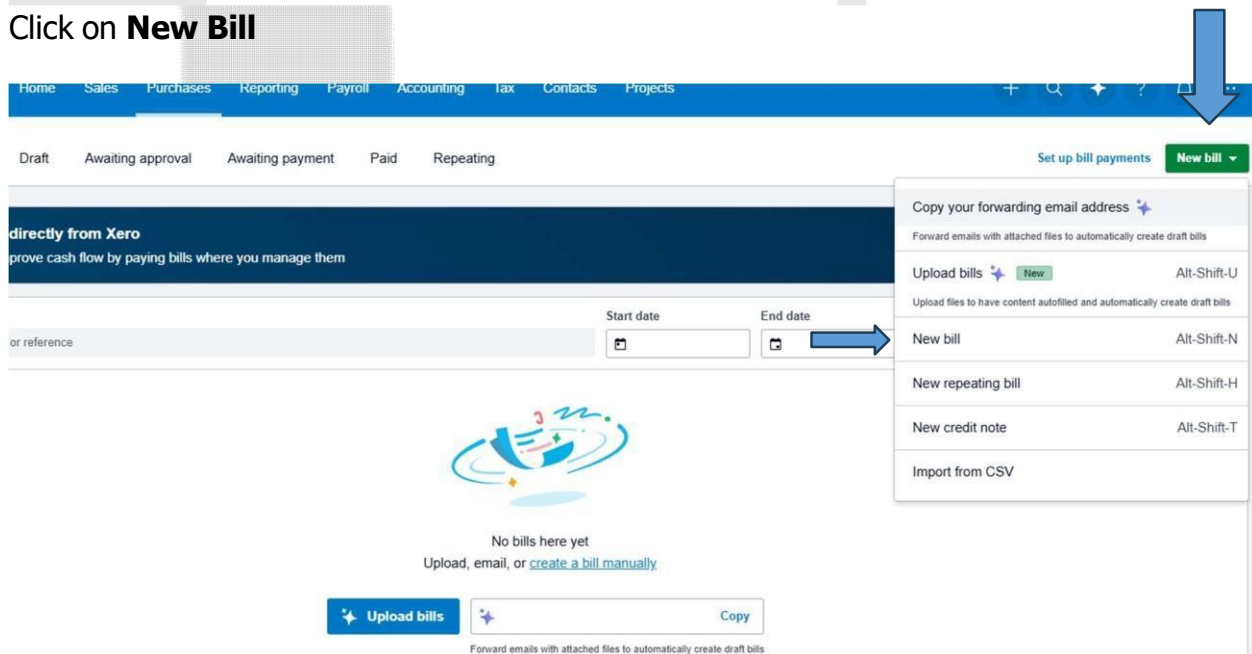
Recording Purchase Invoices

From the **Xero** dashboard

Click on Purchases, **then Bills**.



Click on **New Bill**



INVOICE

**DD DOMESTIC
DISTRIBUTORS**

Invoice To :
Retail Electronics Limited
07/08/2025

Sale No : CND2264115 Customer : LON003
Page No : 1 Sales person :
Order Ref : Bacb5a
Our Order : RND235

Product Code/ Serial Number	Description	LS	Qty	VAT	Unit Pr	exc VAT	Value
BEK-CF5533APW	Fridge Freezer	T	1	1	175.00	175.00	

Code	Rate	Taxable	VAT	Total Net	Total VAT	Total	Amount Paid
1	20.00%	175.00	35.00	175.00	35.00	210.00	0.00

Title of goods above remain property of Domestic Appliance Distributors until full settlement is made. Full terms and conditions of sale available on request.

Shortages and damages should be reported within three days of delivery date.

DAD is a trading name of John Gillman & Sons (Electrical) Limited

This is what a supplier invoice looks like as it is addressed to our company, **Retail Electric**.

Now, when we're recording an invoice into the software, there are 5 things to look for when recording.

- 1) **Date of the invoice.**
- 2) **Invoice number or order reference** (it's a unique number that we can use to differentiate between multiple invoices with the same date and amount to avoid duplication).
- 3) **Description** (the goods we are purchasing, details).
- 4) **Net Amount** (the Amount without VAT)
- 5) **% of the VAT charged**

These are crucial details needed when we are recording an Invoice into Xero.

Note: If two or more Invoice has Same date, Invoice number and amount, that means it is a duplicate; no need to record them twice. If any of these 3 differ from each other, then it's a different Invoice.

✦ Once you click on **New Bill**, this is the screen that will appear, in which we have to enter the information from the Invoice.

Fill in the **Invoice Details** that have been mentioned above.

FROM: Domestic Distributors

DATE: 07/08/2025

DUE DATE: That will be added automatically

REFERENCE: Invoice reference number

ITEM: Leave blank

DESCRIPTION: Fridge Freezer

QUANTITY: 1

UNIT PRICE: (Net Amount)

TAX RATE: 20% VAT on Expenses as set by purchase default

Before approving, check if the Gross Balance (Total) matches the Invoice total. Then, you can go ahead and click on **Approve it**.

Note: Please don't click on save. If you save it, the invoice will reflect as a draft.

✓ Bill approved
[Add another bill](#)

Awaiting Payment

Print PDF

Bill Options ▾

From	Date	Due Date	Reference	Total
Domestic distributor	7 Aug 2025	30 Sep 2025	Dacb5a	210.00
No address				
Add address				

Amounts are Tax Exclusive

Item Code	Description	Quantity	Unit Price	Account	Tax Rate	Amount GBP
	Fridge Freezer	1.00	175.00	Cost of Goods Sold	20% (VAT on Expenses)	175.00
Subtotal						175.00
Total VAT 20%						35.00
TOTAL						210.00

Make a payment

Amount Paid	Date Paid	Paid From	Reference
210.00			

Record payment

 or

Make payment

Once approved, you can go ahead and post the remaining purchase invoices by following the same method.

Note: Xero doesn't allow us to enter invoices in a batch, so we'll enter all of the invoices one by one.

Suppliers

List

Name	Explanation	Account Code	Tax code
Domestic Distributor	Goods have been purchased for resale	310- Cost of Goods Sold	20% on Expenses
BES	Goods have been purchased for resale	310- Cost of Goods Sold	20% on Expenses
Civica	Parking Fine Receipt	402- Parking Fine (Create new code from the chart of Accounts)	No VAT
Connect Distribution	Goods have been purchased for resale	310- Cost of Goods Sold (Use this for default) 425- Postage freight	20% on Expenses
CCL	Goods have been purchased for resale	310- Cost of Goods Sold (Use this for default) 425- Postage freight	20% on Expenses

For Civica, we'll create a new **Chart of Accounts (COA)**, as in the existing COA, we don't have the appropriate code that we can use.

Go to **Accounting > Chart of Accounts**.

Click on **Add Account**

Settings > Chart of accounts

You're using the default chart of accounts. You can customise this, find out how in our [Help Centre](#).

Add Account **Add Bank Account** **Print PDF** **Import** **Export**

All Accounts Assets Liabilities Equity Expenses Revenue Archive

What's this?

Delete Archive Change Tax Rate No accounts selected Search

Code	Name	Type	Tax Rate	YTD

Add New Account

Account Type
Expense

Code
A unique code/number for this account (limited to 10 characters)
402
'402' is available

Name
A short title for this account (limited to 150 characters)
Parking Fee

Description (optional)
A description of how this account should be used

Tax
The default tax setting for this account
No VAT

☐ Show on Dashboard Watchlist
☐ Show in Expense Claims
☐ Enable payments to this account

How account types affect your reports

Profit & Loss

Income
Revenue
Sales
Less Cost of Sales
Direct Costs
GROSS PROFIT
Plus Other Income
Other Income
Less Expenses
Expenses
Depreciation
Overheads
NET PROFIT

Balance Sheet

Current Assets
Current Assets
Inventory
Prepayments
Plus Bank
Bank Accounts
Plus Fixed Assets
Fixed Assets
Plus Non-current Assets
Non-current Assets
TOTAL ASSETS
Less Current Liabilities
Current Liabilities
Less Non-current Liabilities
Liabilities
Non-current Liabilities
NET ASSETS
Equity
Equity
Plus Net Profit
TOTAL EQUITY

Save **Cancel**

You can also modify where accounts appear in your reports using [Customised Report Layouts](#)

Account Type: Expense

Code: 402

Name: Parking Fine

Tax: No VAT

Click on **Save**

Purchase Defaults

Purchase defaults

Defaults can be overridden on individual spend money, bills and purchase orders

Purchase account

402 - Parking Fee ×

Bill due date

26 of the following month ▼

Amounts are

No tax ▼

Purchase VAT

No VAT ▼

Cancel Save & close

When creating the Civica Contact in suppliers, you can now use the **Account 402** in purchase defaults.

Click on **save and close**.

From: Civica Date: 6 Jul 2025 Due Date: 26 Aug 2025 Reference: CWPT00 Total: 0.00

GBP British Pound Amounts are: No Tax

Item	Description	Qty	Unit Price	Account	Tax Rate	Amount GBP
⋮	Parking Fine	1.00	55.00	402 - Parking Fee	No VAT	55.00 ×
⋮						×
⋮						×
⋮						×
⋮						×

Add a new line Assign expenses to a customer or project

Subtotal 55.00

TOTAL 55.00

Save Approve and make payment Approve Cancel

Click on **Approve**.

Accounting for Delivery

For the **Connect Distribution** invoice, if you look at it, there's also a **carriage** charge.

Invoice

Account No: 53
Invoice No: C11329
Order Reference: 201210311105
Date & Tax Point: 17/07/2025

Status: Despatched

Invoice Address:
Retail Electronics Limited

Connect Distribution Services Ltd.
Connect House

Sales: 0844 557
Accounts: 0844 573
Customer Services: 0844 573

Catalogue No	Description	Order Qty	Rec Qty	B/O Qty	Unit Price	Line Value	Vat Value	Status	Order Reference
BEK2904520100	DOOR SEAL	1	1	0	7.70	7.70	1.54		

Value: £7.70
Carriage Value: £5.95
VAT: £2.73
Total: £16.38

We'll also need to account for the **delivery cost** as well when recording the invoice.

Create the Supplier Account, similar to what is **given** on the page #

Then go to **Purchases** and add the bill like you usually do

Add the delivery charge in a separate row, the Account of **425**.

From: Connect Distributors Date: 17 Jul 2025 Due Date: 26 Aug 2025 Reference: 201210311105 Total: 0.00

GBP British Pound

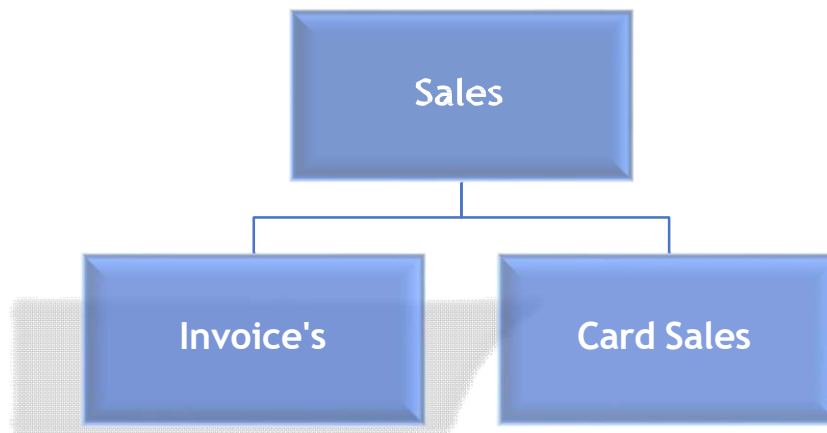
Amounts are Tax Exclusive

Item	Description	Qty	Unit Price	Account	Tax Rate	Amount GBP
	Door deal	1.00	7.70	310 - Cost of Goods Sold	20% (VAT on Expenses)	7.70
	Delivery	1.00	5.95	425 - Postage, Freight & Courier	20% (VAT on Expenses)	5.95

Subtotal: 13.65
Total VAT 20.00%: 2.73
TOTAL: 16.38

Save

Recording Sales



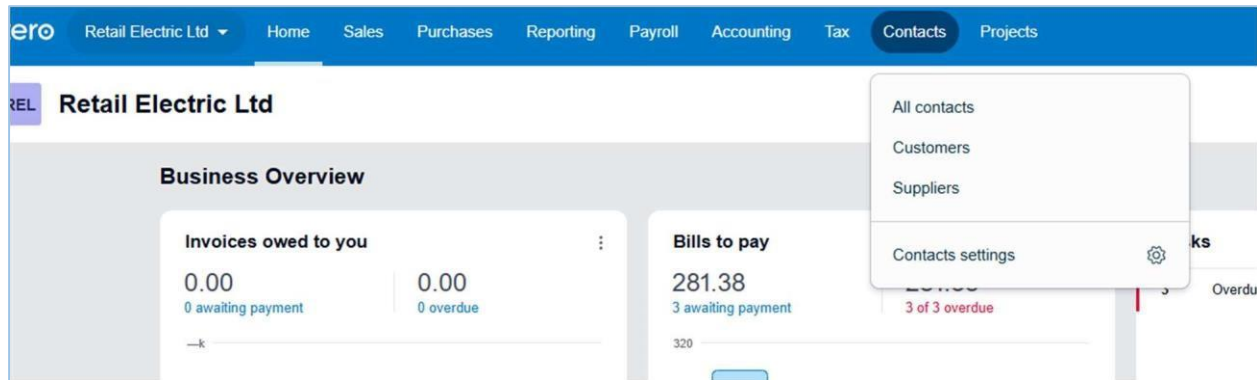
As retail electric has two types of sales, the first is their invoice-based sales, and the second is their card sales, so we'll be maintaining different Sales Contacts for them to ensure accurate reporting

Difference

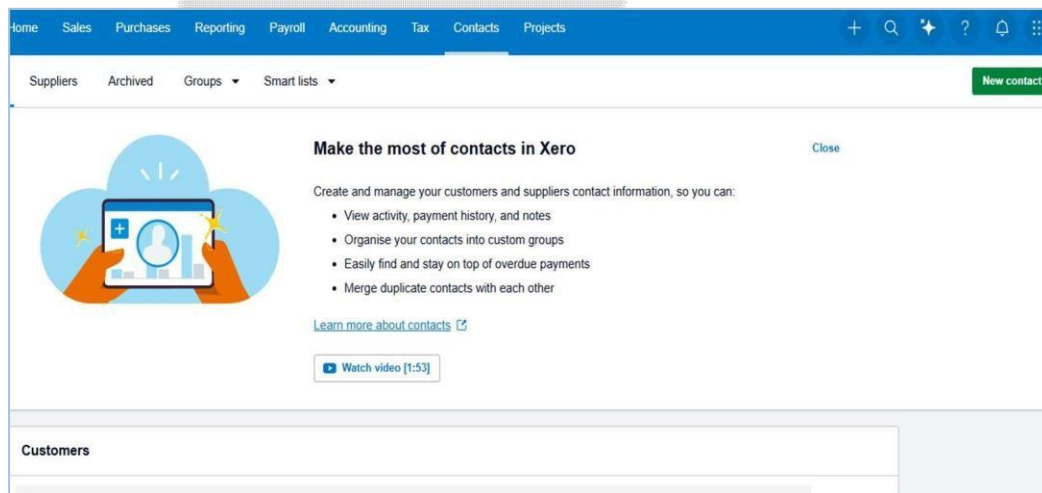
1. **Card sales** and invoice sales differ mainly in how and when payment is received. In card sales, the customer pays immediately using a debit or credit card, and the transaction is processed on the spot, which means the seller gets the money quickly and with minimal risk of non-payment.
2. **Invoice-based sales** involve selling goods or services first and sending a bill to the customer to be paid later, usually within agreed **credit terms like 15 or 30 days**. This method is common in business-to-business transactions, but carries a higher risk since payment is delayed and depends on the customer paying on time.

First, let's create a contact in Xero for our Invoice based customers

Click on **Contacts** and then click on **Customers**



Click on **New Contact**



Retail Electric Limited
34 East Court,
London Road,
RE1 2RT

Rosita Wilk

3 St Anne's Terrace, Bristol
BS4 4DY, UK

As we're **(retail electric)** the ones issuing the invoices.

The customer's name is given on the invoice, and we'll use that to create a customer contact for every **unique customer**.

Contact details

Contact name (required)

Rosita Wilk

Account number

Add a unique account number to identify, reference and search for the contact.

Primary person

First name Last name

Email

name@email.com

Sales defaults

Defaults can be overridden on individual invoices, quotes, and receive money

Sales account

200 - Sales

Invoice due date

30 of the following month

Amounts are

Tax exclusive

Sales VAT

20% (VAT on Income)

Discount

0.00 %

Credit limit amount

☐ Block new invoices when credit limit is reached

Xero network key

In the contact Name, write the Name of the Customer that is Rosita Wilk

After than Select **Sales Default.**

Sales Account:200 sales

Invoice due date: 30 of the following Month

Amounts are: Tax exclusive

Sales VAT: 20% VAT on income

Discount: leave it empty

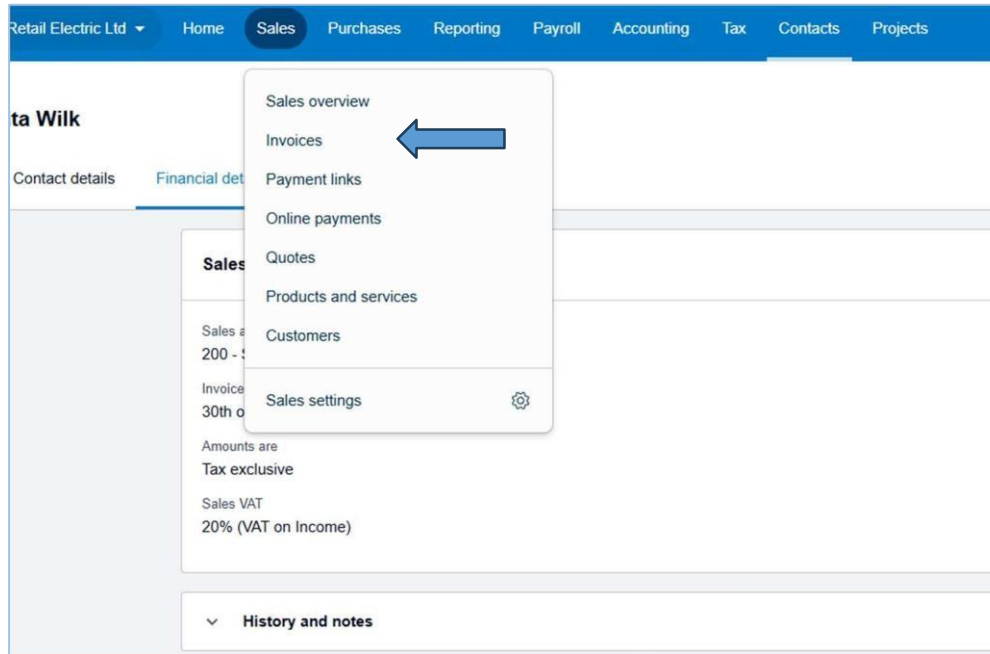
Note: Under training, we won't be setting up a credit limit.

For all the other customers besides card sales

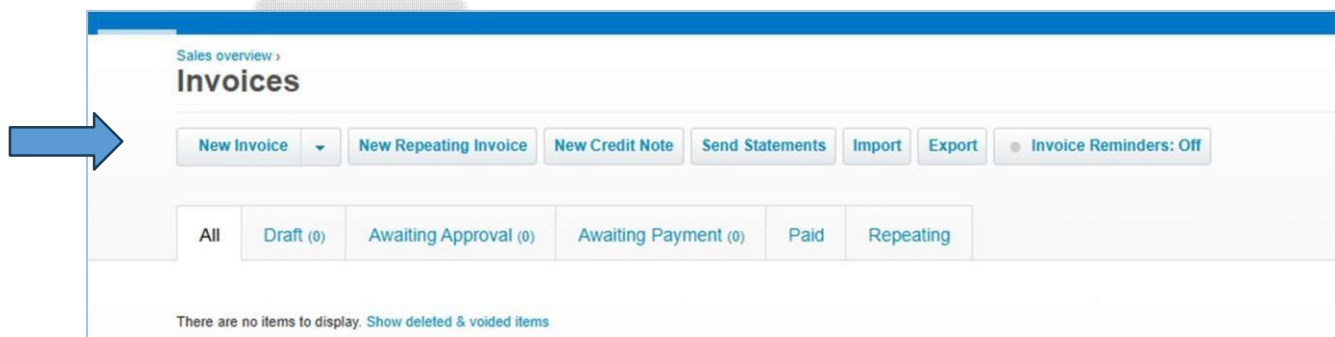
Note:
Credit control for customers is a business process that manages the risk of lending to customers, aiming to maximize cash flow and minimize bad debts. It involves setting customer credit limits, agreeing on payment terms, monitoring creditworthiness, and chasing overdue payments.

Click on **Save & Close**

To record a **Sales invoice**
Go to Sales > Invoices.



Click on **New Invoice**



After clicking on the **new Invoice**, we'll be redirected towards the page where we need to record the Invoice.

Sales overview > Invoices

New invoice Draft Preview Save & close Approve & email

86% of customers say they prefer to pay via credit and debit card
Add online payments to your invoices. Get paid up to twice as fast.

Set up invoice template Skip for now Add details

Contact Issue date Due date Invoice number Reference Online payments

Currency Amounts are

Item	Description	Qty.	Price	Disc.	Account	Tax rate	Tax amount	Project	Amount GBP
Subtotal									0.00
Total VAT									0.00
Total									0.00

☐ Send as an einvoice
Select a contact to send as einvoice

In here, let's put in the information Similar to purchases.

- **Contact:** Rosita Wilk
- **DATE:** 15/07/2025
- **DUE DATE:** That will be added automatically since we set a default.
- **Invoice number:** Xero will automatically assign.
- **Reference:** Invoice number
- **ITEM:** Leave blank
- **DESCRIPTION:** As mentioned on the invoice
- **QUANTITY:** 1
- **UNIT PRICE:** (Net Amount)
- **TAX RATE:** 20% VAT on Income, as set by Sales default.

Files overview > Invoices
Edit invoice INV-0001 Draft All changes saved as draft

Preview Save & close Approve & email

86% of customers say they prefer to pay via credit and debit card
Add online payments to your invoices. Get paid up to twice as fast.

Set up invoice template Skip for now Add details

Contact: RW Rosita Wilk Issue date: 15 Jul 2025 Due date: 30 Aug 2025 Invoice number: # INV-0001 Reference: RW 1 Online payments: Set up online payments

Currency: British Pound Amounts are: Tax exclusive

Item	Description	Qty.	Price	Disc.	Account	Tax rate	Tax amount	Project	Amount GBP
	Fitted Amica gas Cooker	1	60.00		200 - Sales	20% (VAT on Income)	12.00		60.00

Add row

Columns (0 hidden) Attach files

Subtotal 60.00
Total 20% (VAT on Income) 12.00
Total 72.00

History and notes Add note

Before approving, check if the Gross Balance (Total) matches the Invoice total. Then, you can go ahead and click on the arrow beside **Approve & Email** and select **Approve**.

Preview Save & close Approve & email

- Approve Ctrl-Alt-A
- Approve & add another Ctrl-Alt-O
- Approve & get link
- Approve & print PDF Ctrl-Alt-R

Note: Please don't click on save. If you save it, the invoice will reflect as a draft.

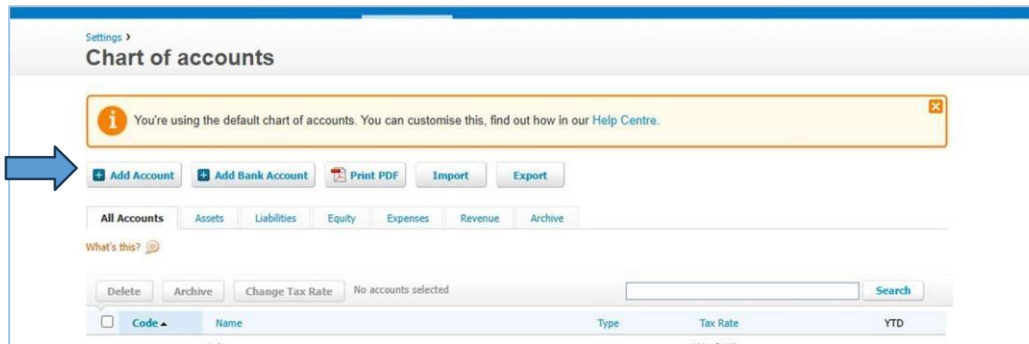
The invoice will be recorded in Xero After **Approving it**.

Record all of the sales invoices similarly.

For Card sales, we'll create a new **Chart of Accounts (COA)**, as we need to maintain the record for the sales through card separately.

Go to **Accounting > Chart of Accounts**.

Click on **Add Account**



Account Type:
Sales

Code: 201

Name: Card Sales

TAX: 20% (VAT on
Income)

Click on Save

Card Sales Sheet

Monthly Sale Sheet

Date	Transaction	Amount
01/07/2025	Card Sale	£ 1,298.20
01/07/2025	Card Sale	£ 1,450.10
12/07/2025	Card Sale	£ 150.40
12/07/2025	Card Sale	£ 1,470.20
21/07/2025	Card Sale	£ 1,250.00
21/07/2025	Card Sale	£ 1,456.00
30/07/2025	Card Sale	£ 236.89
07/08/2025	Card Sale	£ 1,020.00
07/08/2025	Card Sale	£ 1,069.00
16/08/2025	Card Sale	£ 1,900.00
16/08/2025	Card Sale	£ 2,000.00
28/08/2025	Card Sale	£ 350.00
28/08/2025	Card Sale	£ 1,250.00
03/09/2025	Card Sale	£ 1,230.00
03/09/2025	Card Sale	£ 2,400.00
03/09/2025	Card Sale	£ 780.00
23/09/2025	Card Sale	£ 1,400.00
23/09/2025	Card Sale	£ 1,900.00
23/09/2025	Card Sale	£ 2,000.00

Now, this is the **card sales** detail that we have gotten for the month/quarter.

Now, all of these amounts are tax-inclusive, so when creating a contact, we'll set it up as tax-inclusive.

"Tax Inclusive" means the advertised price of a product or service already includes all applicable taxes (such as VAT).

Example:

A phone costs **£600**, which is inclusive of VAT. That means in this amount the VAT is Already Added. Breakdown of 600 into net and VAT will be the base (exclusive) price of **£500** and a standard VAT rate of **20%** (100).

Similarly, create a Customer Account from **Contacts** and name its **Card Sales**.

Contact details

Contact name (required)

Account number

Add a unique account number to identify, reference and search for the contact.

Primary person

First name Last name

Email

☒

Sales defaults

Defaults can be overridden on individual invoices, quotes, and receive money

Sales account

200 - Sales

Invoice due date

30 of the following month

Amounts are

Tax inclusive

Sales VAT

20% (VAT on Income)

Discount

0.00 %

Credit limit amount

☐ Block new invoices when credit limit is reached

Xero network key



After than Select **Sales Default.**

Sales Account:200 sales

Invoice due date: 30 of the following Month

Amounts are: Tax Inclusive

Sales VAT: 20% VAT on income

Discount: leave it empty

After that, click on **Save & close**

Similarly, to record a **Card Sale**.
Go to Sales > Invoices > New Invoice

Contact: card Sales x Issue date: 1 Jul 2025 Due date: 30 Aug 2025 Invoice number: # INV-0002 Reference: Card Sale 1 Online payments: Set up online payments VISA

Currency: British Pound Amounts are: Tax inclusive

Item	Description	Qty.	Price	Disc.	Account	Tax rate	Tax amount	Project	Amount GBP
::	Card sale	1	1298.20		200 - Sales	20% (VAT on Income)	216.37		1298.20
Add row									

Columns (0 hidden) Attach files

Subtotal 1,298.20
Includes 20% (VAT on Income) 216.37
Total 1,298.20

- **Contact:** Card Sales
- **DATE:** 15/07/2025
- **DUE DATE:** That will be added automatically since we set a default.
- **Invoice number:** Xero will automatically assign.
- **Reference:** Invoice number
- **ITEM:** Leave blank
- **DESCRIPTION:** As mentioned on the invoice
- **QUANTITY:** 1
- **UNIT PRICE:** 1298.20
- **TAX RATE:** 20% VAT on Income, as set by Sales default Tax Inclusive

Xero will Automatically Calculate the correct VAT for the card sale, as we have already selected tax inclusive by default.

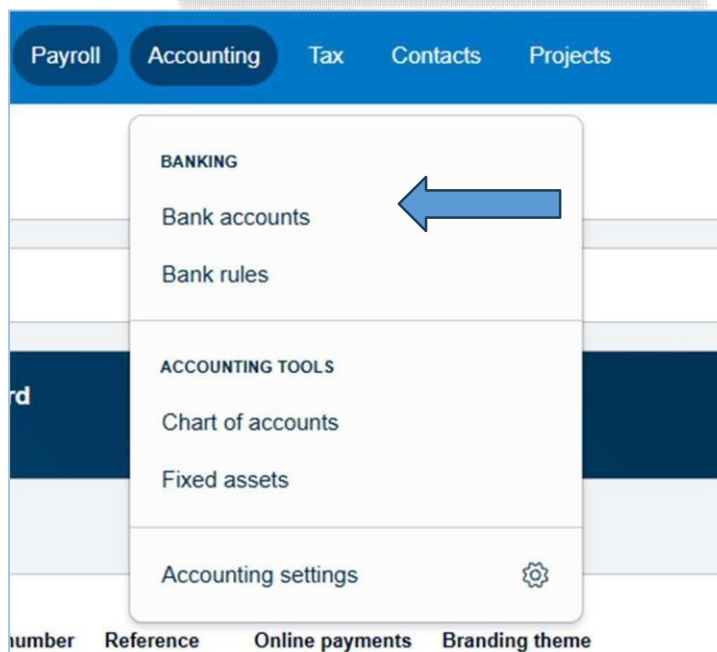
Click and Approve.

Petty Cash Account

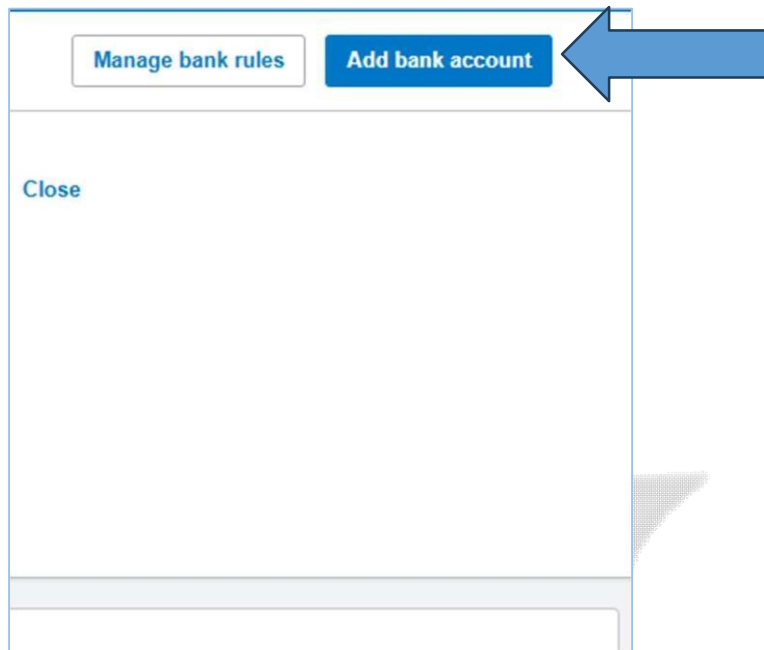
Petty cash is a small amount of physical money that a business keeps on hand to pay for minor, everyday expenses that are not convenient to pay through formal methods like checks or bank transfers. It is typically used for small purchases **such as office supplies, transportation costs, minor repairs, or refreshments**. A fixed amount is set aside and managed by a designated person, who records each transaction and keeps receipts as proof of spending. As the cash is used, the remaining balance is tracked, and when it runs low, the fund is replenished to its original amount based on the recorded expenses.

To record Petty Cash into Xero, we first create a **Petty Cash Bank Account**

Click on **Accounting > Bank Accounts**



Click on **Add Bank Account**



For training purposes, we can go ahead and Select Any bank, which won't affect our workings.

Select your account

Search for banks, credit cards, and payment providers

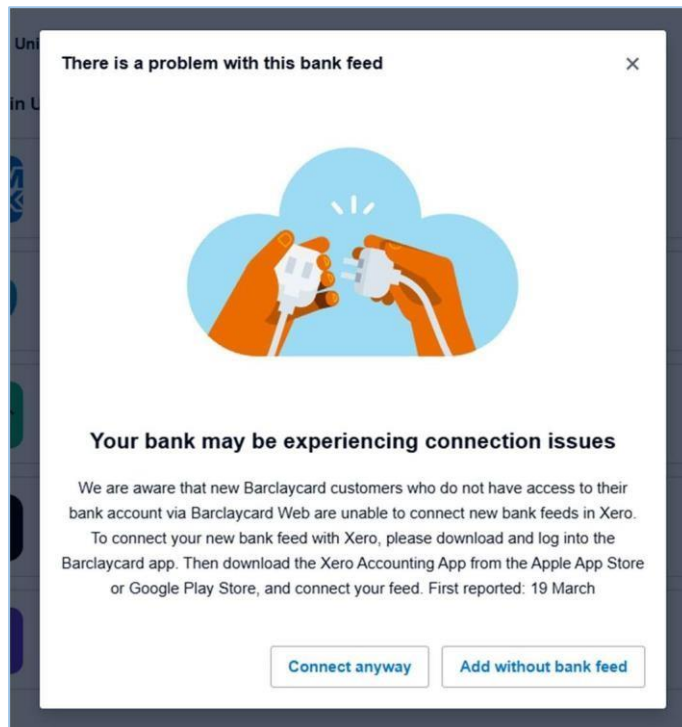
Q Search

Country: **United Kingdom** ▼

Popular in United Kingdom

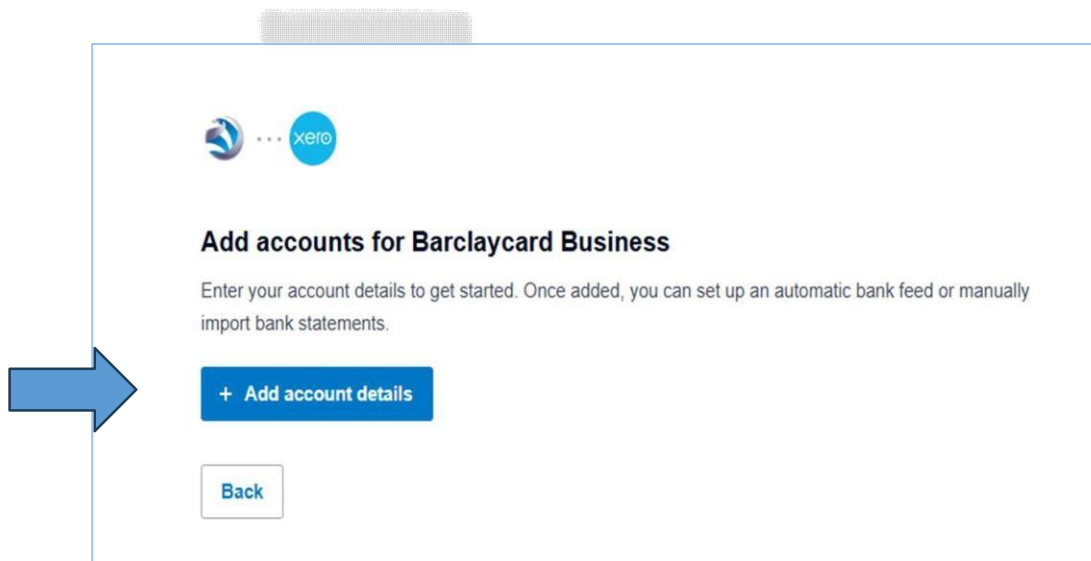
 American Express (UK)	 Barclaycard Business
 Barclays Business (UK)	 HSBC Business (UK)
 Lloyds Business (UK)	 NatWest
 Revolut Business	 Santander Business (UK)
 Starling Business	 Wise Business

Click on Add **Without Bank Feed**



Bank feeds in Xero are an automatic connection between your bank account and Xero that imports your bank transactions into the system regularly. That's why we can link the Bank Accounts directly into Xero, but under the training, we won't be doing it.

Click on **Add Account Details**



Fill in the information.

- **Account name:** Petty Cash Bank
- **Account Type:** Other
- **Sort code:** 00-00-00
- **Account Number:** 0000000000000000
- **Currency:** GBP British pound

The screenshot shows a web form titled "Add account details" with a close button (X) in the top right corner. The form contains the following fields and labels:

- Account name:** A text input field containing "Petty Cash Account". Below the field is the text "A unique name for this account".
- Account type:** A dropdown menu showing "Other". Below the field is the text "Bank feeds are not available for Other account types".
- Sort code:** A text input field containing "00-00-00".
- Account number:** A text input field containing "0000000000000000". To the right of the field is the text "14/14".
- Currency:** A dropdown menu showing "GBP British Pound".

At the bottom of the form, there is a link: [Learn about adding accounts](#) with an external link icon. Below the link are two buttons: "Cancel" and "Add". A large blue arrow points to the "Add" button.

Click on Add

Your Petty Cash Bank will be created.

Petty Cash

PETTY CASH BREAKDOWN SHEET			
Jul-2025			
Date	Amount	Type of Expense	Comment
01/07/2025	£33.55	CATERING	STAFF REFRESHMENT
01/07/2025	£1.10	CATERING	MILK
01/07/2025	£3.59	CATERING	STAFF REFRESHMENT
01/07/2025	£8.57	GENERAL POSTAGE	
05/07/2025	£2.06	CATERING POSTAGE	
05/07/2025	£1.05	CATERING	MILK
06/07/2025	£74.00	TRAVEL	
07/07/2025	£2.06	GENERAL POSTAGE	
07/07/2025	£1.05	CATERING	MILK
08/07/2025	£10.00	GENERAL POSTAGE	
08/07/2025	£6.78	STATIONERY	
08/07/2025	£664.40	MAINTENANCE	BUILDING MAINTENANCE
08/07/2025	£25.90	MAINTENANCE	
11/07/2025	£6.04	CATERING	MILK AND COFFEE
12/07/2025	£1.10	GENERAL POSTAGE	
13/07/2025	£15.05	GENERAL POSTAGE	
14/07/2025	£1.10	GENERAL POSTAGE	
15/07/2025	£26.55	CATERING	
15/07/2025	£14.15	CATERING	STAFF
15/07/2025	£2.50	CATERING	STAFF
15/07/2025	£3.50	CATERING	
18/07/2025	£1.05	CATERING	MILK
19/07/2025	£14.50	GENERAL POSTAGE	
19/07/2025	£8.80	MAINTENANCE	TOILET ROLLS
19/07/2025	£6.00	CATERING	WATER
20/07/2025	£4.45	GENERAL POSTAGE	
21/07/2025	£1.05	CATERING	MILK
21/07/2025	£48.57	CATERING	STAFF REFRESHMENT
21/07/2025	£5.55	GENERAL POSTAGE	
21/07/2025	£1.10	GENERAL POSTAGE	
25/07/2025	£6.64	CATERING	
25/07/2025	£7.80	MAINTENANCE	TOILET ROLLS
28/07/2025	£3.30	GENERAL POSTAGE	
29/07/2025	£1.10	GENERAL POSTAGE	
Total	£1,081.97		
Starting Float	£184.00		
Top up	£300.00		
Top up	£300.00		
Top up 3	£150.00		
Top up	£200.00		
Top up	£100.00		
Remaining Balance	£152.03		

These are Petty cash Expenses that we have incurred in this period. We'll be recording them one by one into the Xero software for July, August, and September.

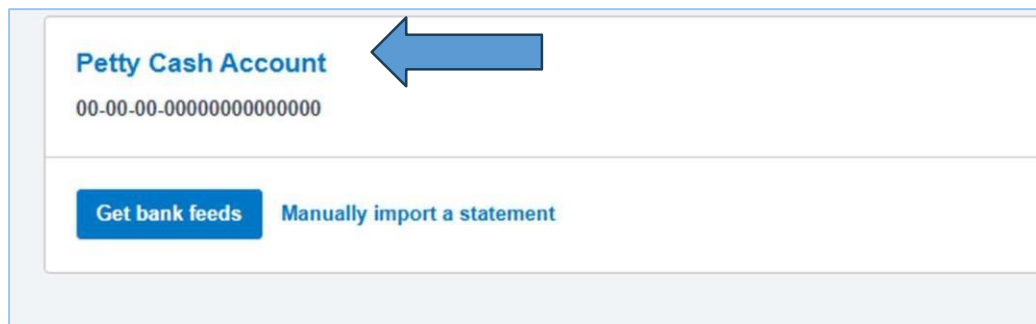
Note: Please ignore the Floats that are given in the document for now; we'll only be focusing on recording expenses on Xero

What is Float?

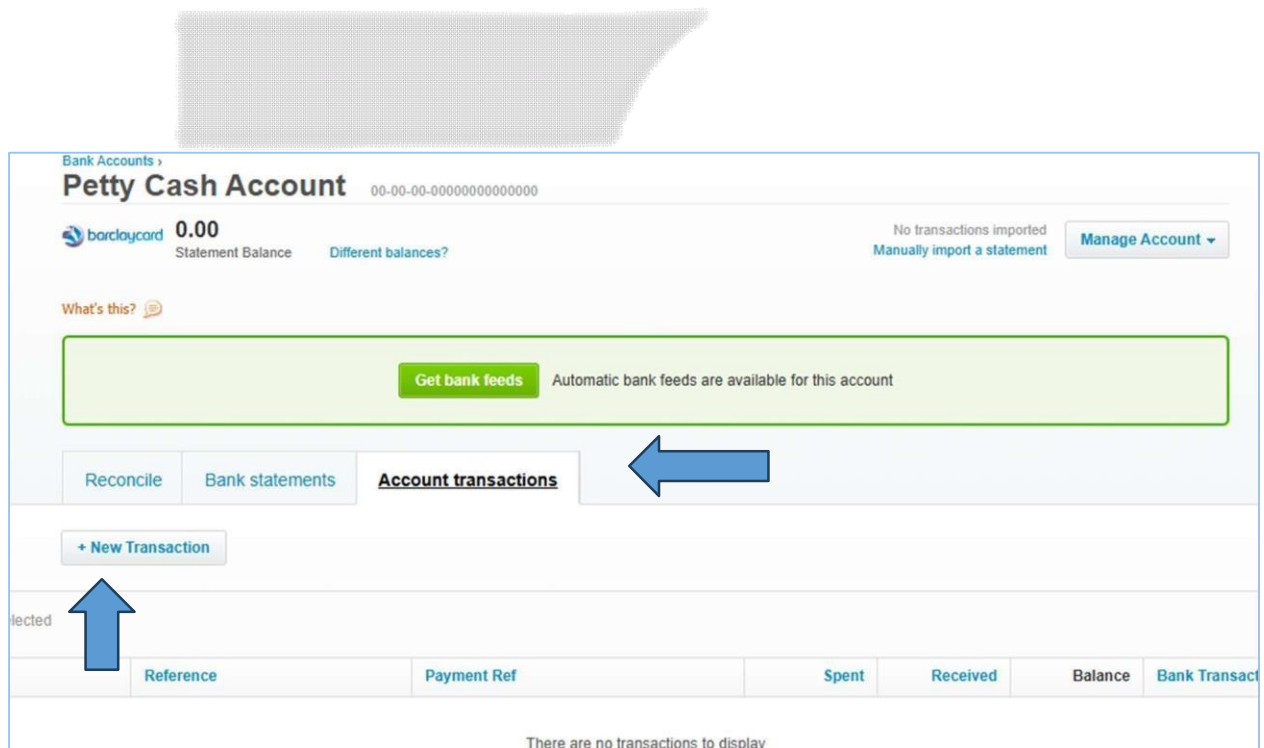
A petty cash float is a fixed, predetermined amount of physical cash maintained on hand to pay for minor, incidental business expenses.

It is most commonly managed using an **imprest system**, where the fund is replenished back to its original total regularly, ensuring the sum of remaining cash and receipts always matches the initial amount.

Click on the Bank account name (**petty cash Bank**) that we just created.



Go to Account transactions Than Select **+ New transactions**



After that, we'll fill in the details for your first petty cash Document

Reconcile Bank statements **Account transactions**

+ New Transaction

New Spend Money ▾

To: Catering NEW Date: 1 Jul 2025 Reference: Catering 1

GBP British Pound Amounts are: No Tax

Item	Description	Qty	Unit Price	Account	Tax Rate	Amount GBP
	Catering	1.00	33.55	424 - Entertainment - 0%	No VAT	33.55

Subtotal 33.55

TOTAL 33.55

Add a new line Assign expenses to a customer or project

Save Cancel

- **To:** Catering
- **DATE:** 01/07/2025
- **Reference:** Catering 1 (since it's the first catering expense)
- **Reference:** Invoice number
- **ITEM:** Leave blank
- **DESCRIPTION:** Mention Catering
- **QUANTITY:** 1
- **UNIT PRICE:** 33.35
- **Tax rate:** No VAT

Click on Save

Similarly, add the rest of the petty Cash Expenses for the 3 months like this.

Note: On petty Cash Items, make sure to select No Tax Always

Accounts (COA) for Petty Cash expenses:

Expense type	Account Code
Catering	424 - Entertainment-0%
General Postage	425 - Postage, Freight & Courier
Travel	Travel 493 - Travel-National
Maintenance	429 - General Expenses
Other	429 - General Expenses

Business Current Account

Same as the Petty Cash Account, we need to create a Business Current Account also.

- Click on **Accounting – Bank Accounts**
- Add **bank Account**
- Select any account from the list
- Then click on **Continue without Bank feed**
- Click on **+ Add Account Details**

Enter the Following Information and **Click on Add**

Add account details

Account name

Business Bank Account

A unique name for this account

Account type

Credit card

Credit card number

4/4

Last 4 digits: 1234

Currency

GBP British Pound

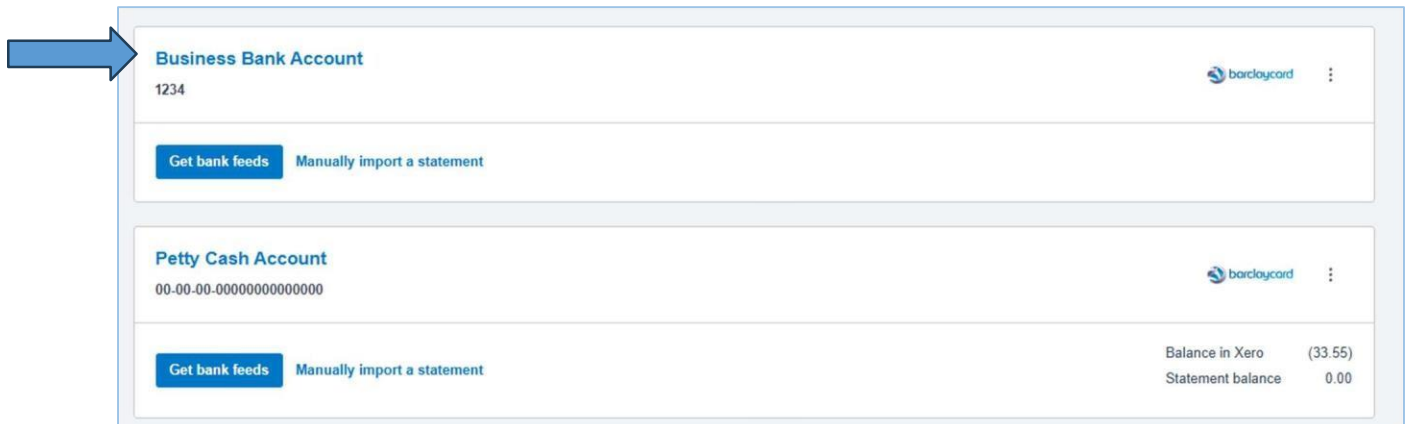
[Learn about adding accounts](#)

Cancel

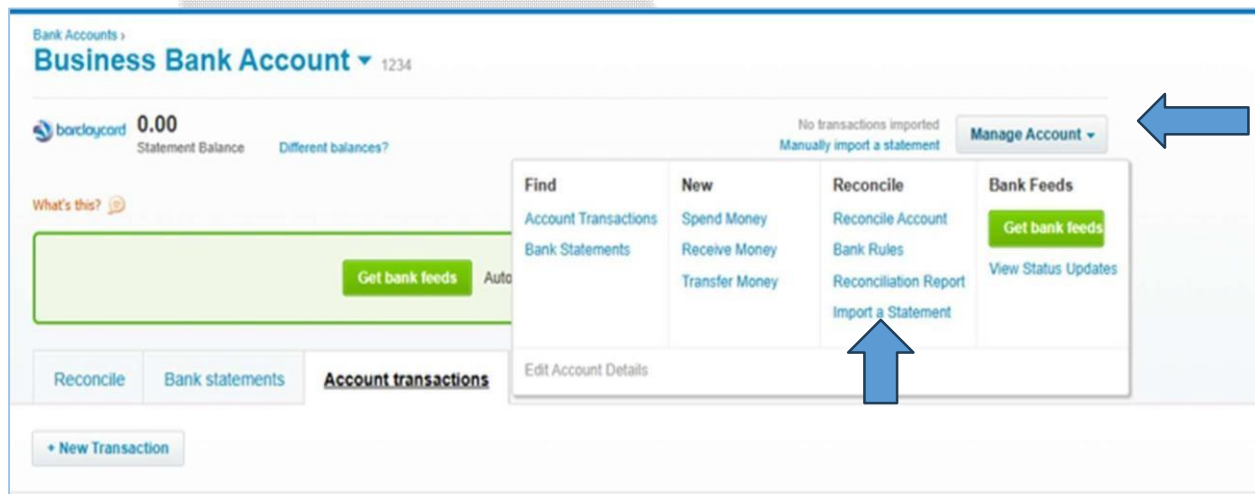
Add

In real-world use of **Xero accounting software**, bank feeds usually import transactions automatically. But in training, the bank feeds aren't available, we'll **manually recreate the bank statement in Excel** and then import it.

Click on **Business Bank Account**



Click on **Manage Account** and **Import a Statement**



Click on **Download Xero CSV Template**

1 Upload
2 Import settings
3 Review

Prepare file for upload

Download bank statements from your online banking as an OFX (preferred), QFX, QIF, QBO, or CSV file.

Alternatively, create your own statement file with our CSV template.
[Download Xero CSV template \(CSV, 56 B\)](#)

[Learn more about importing transactions](#)

File to upload

Drag and drop file or select manually

Select file

File should end in OFX, QFX, QIF, QBO, or CSV

Once it's downloaded, **open it.**

	A	B	C	D	E	F	G
1	*Date	*Amount	Payee	Descriptic Reference	Check Number		
2							
3							
4							
5							
6							
7							
8							
9							
10							
11							
12							
13							
14							
15							
16							

This is what the Template will look like, in which we have to record the Bank Statement that has been provided to you in the QE 3 documents.

Note: we need to remove the heads of Description, Reference and Check number for now, as they are Irrelevant for us.

 BARCLAYS



Date	Description	Money in	Money out	Balance
01/07/2025	Wm Morrisons Petrol filling station		£ 72.05	£ 45,307.54
01/07/2025	TRANSFER FROM ELAVON FINANCIAL SERVICES DAC REFERENCE	£ 1,298.20		£ 46,605.74
01/07/2025	TRANSFER FROM ELAVON FINANCIAL SERVICES DAC REFERENCE	£ 1,450.10		£ 48,055.84
03/07/2025	Asda park royal		£ 78.93	£ 47,976.91
05/07/2025	CARD PAYMENT TO FACEBK SF55GAEGE2		£ 500.00	£ 47,476.91
06/07/2025	DIRECT DEBIT PAYMENT TO GOOGLE IRELAND		£ 243.20	£ 47,233.71
08/07/2025	Bank charges		£ 36.10	£ 47,197.61
08/07/2025	Domestic distribution		£ 310.00	£ 46,887.61
08/07/2025	Bank charges		£ 36.10	£ 46,851.51
08/07/2025	DIRECT DEBIT PAYMENT TO GOOGLE IRELAND		£ 243.20	£ 46,608.31
08/07/2025	CARD PAYMENT TO FACEBK SF55GAEGE2		£ 500.00	£ 46,108.31

On a bank statement, these three columns tell the story of your account's "flow." Here is the breakdown in simple terms

1. Money In (Credits)

This column shows all the money that was added to your account.

This is called a **Credit**.

2. Money Out (Debits)

This column shows all the money that was left in your account.

This is called a **Debit**.

3. Balance

This is the running total of how much money is in your account at that exact moment.

The Math: Previous Balance + Money In - Money Out = New Balance.



Date	Description	Money in	Money out	Balance
01/07/2025	Wm Morrisons Petrol filling station		£ 72.05	£ 45,307.54



In the bank statement, the First transaction is **Wm Morrisons Petrol Filling Station £ 72.05**

As we're working on the 3rd Quarter in Xero, the bank statement is a continuation of the previous Quarter. If you look, there is a balance of **£ 45307.54**.

We'll do some reverse workings to get the Closing Balance of the previous month, as it's the opening balance of the current period.

Since Wm Morrisons Petrol Filling Station **£ 72.05** is the is a **money out**, it means money is going out from the bank and reducing the balance. Add the **£ 72.05** to the balance **£ 45307.54 (45307.54+72.0)**, and the total will be **£ 45379.59**.

We'll post the £ 45379.59 as a deposit from the director

Note: While writing a bank statement in an Excel sheet, the date should be in **Date Format**, and the amount should be in **Number Format**

A	B	C
*Date	* Amount	Payee
01/01/2025	45379.59	Director Deposit
01/01/2025	-72.05	WM Morrisons
01/01/2025	1298.2	Transfer from Elavon
01/01/2025	1450.1	Transfer from Elavon
03/01/2025	-78.93	Asda Park Royal

Note: Money out should be recorded with a **minus sign (-)** and money in with no sign.

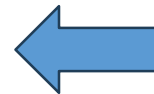
Record all the bank statement lines in Excel in a similar manner.

Once you have entered the Bank statement into Excel, check the **closing balance of Excel** with the **Bank statement closing Balance** Document before uploading it to ensure every transaction has been entered correctly.

30/09/2025	Wages-Sandy		£ 850.00	£ 14,690.21
------------	-------------	--	----------	-------------



Average: 117.52168 Count: 125 Sum: 14690.21				
---	--	--	--	--



If it Matches than we can proceed to upload this into **XERO**.

Go to **Accounting> Bank Account**

Click on **Manually Import a Statement**

Business Bank Account

1234

Get bank feeds

Manually import a statement



Click On **Select File**

Then select the Excel file from your system in which you have entered the data

File to upload

Drag and drop file or select manually

Select file

File should end in OFX, QFX, QIF, QBO, or CSV



Once the File has been uploaded, it'll appear like this.

Click on Next

File to upload

Drag and drop file or select manually

Select file

File should end in OFX, QFX, QIF, QBO, or CSV

RE xero bank statement 2025.csv
4.15 KB

Upload — Import settings — Review

Set up transactions for import

Map and assign columns

Assign column headings in your file to fields in Xero, to set how your transactions look. You only need to do this once, but you can edit them when you next import a CSV file.

Column heading from CSV file	Preview from CSV file	Assign to field in Xero
*Date	01/07/2025	Transaction Date
*Amount	45379.59	Transaction Amount
Payee	Director Deposit	Payee

Showing statement line 1 of 125

☒ Don't import the first line because they're column headings

Transaction preview

	Spent	Received
Jul 1, 2025 Director Deposit		£45,379.59

Showing preview transaction 1 of 125

Xero will Automatically Assign and map the columns from your Excel sheet.

We can even manually allot it as well.

A **transaction preview** is basically what the Excel row is going to look like in Xero.

Click on Next and Complete Import

Click on **Next** and **Complete Import**

✓ Upload

✓ Import settings

✓ Review

Review and complete import

Summary of transactions

✓ 125 transaction(s) are ready to import

Xero will check for duplicates when you complete the import, and any duplicates won't show for reconciliation

[Get help with importing bank transactions](#)

✓ Ready to import

☒	Date ↑	Payee	Transaction type	Transaction amount
☒	Jul 1, 2025	Director Deposit	Credit	£45,379.59
☒	Jul 1, 2025	Wm morrisons Petrol	Debit	-£72.05
☒	Jul 1, 2025	transfer from elavon	Credit	£1,298.20
☒	Jul 1, 2025	transfer from elavon	Credit	£1,450.10
☒	Jul 3, 2025	asda park royal	Debit	-£78.93
☒	Jul 5, 2025	card payment to facebook	Debit	-£500.00
☒	Jul 6, 2025	payment to google ireland	Debit	-£243.20
☒	Jul 8, 2025	bank charges	Debit	-£36.10
☒	Jul 8, 2025	domestic distribution	Debit	-£210.00
☒	Jul 10, 2025	cash withdrawn	Debit	-£300.00

Items per page 10 Total items: 125 Page 1 of 13

Back

Edit import settings

125 transaction(s) will be imported

Complete import

BANK RECONCILIATION

- Bank Reconciliation Is the process of matching transactions from a bank account with general ledger transactions recorded for the company.
- Each transaction goes through the business bank accounts and must be matched with a corresponding entry that records the specific business purpose of that transaction.

THE STATEMENT BALANCE:

- Relates to the total value of all bank statement lines, from the starting point of the conversion balance. This total should match the balance of your bank accounts as provided by your bank, at any given point in time.

THE BALANCE IN XERO:

- The total value of banking transactions entered and matched on the general ledger side, from the starting point of the conversion balance.

IN THE RECONCILIATION SCREEN, YOU WILL SEE TWO COLUMNS:

- On the left are the bank transaction lines
- On the right is the screen for **matching, creating, and transferring** transactions in the general ledger.



14,690.21
Statement Balance

0.00
Balance in Xero – Different balances?

[Reconciliation Report](#)


Auto-reconcile • OFF

Manage Account ▼

What's this?

Get bank feeds

Automatic bank feeds are available for this account

125 statement lines were imported. 0 were duplicates.

0 statement lines imported in the last 30 days

View all Reconciled

Turn auto-reconcile on

Reconcile (125)

Bank statements

Account transactions

Compact view ☐

Filter

What's this?
Review your bank statement lines...

Options ▼

1 Jul 2025	Spent	Received
Director Deposit		45,379.59
More details		

What's this?
...then match with your transactions in Xero

Match

Create

Transfer

Discuss

Find & Match

Who

What

Why

Tax Rate

Add details

Options ▼

1 Jul 2025	Spent	Received
Wm morrisons Petrol	72.05	
More details		

Match

Create

Transfer

Discuss

Find & Match

Who

What

Why

Tax Rate

Add details

Options ▼

1 Jul 2025	Spent	Received
transfer from elavon		1,298.20
More details		

OK

Match

Create

Transfer

Discuss

Find & Match

Who

What

Why

Tax Rate

Add details

MATCH:

- In the Bank Reconciliation screen on the right, you will see several transactions that are highlighted in green. This means that an existing invoice or a bill has been suggested as a match for the banking transaction.
- In this case, to complete the transaction, click the **ok button**

CREATE:

- For day-to-day transactions, it may not be necessary to enter a bill or invoice to reconcile to. That can be your Bank Transactions (Bank receipts or Bank Payments).
- In this case, you can create a **transaction**. These are called "**Spend Money**" and "**Receive Money**" Transactions.
- In the '**Who**' field, **type the name of the contact** (You will need to create a new contact as well)
- In the '**What**' field, use the **dropdown list to select the account**.
- In the '**Why**' field, type **a description for the transaction**
- Click on **OK**.

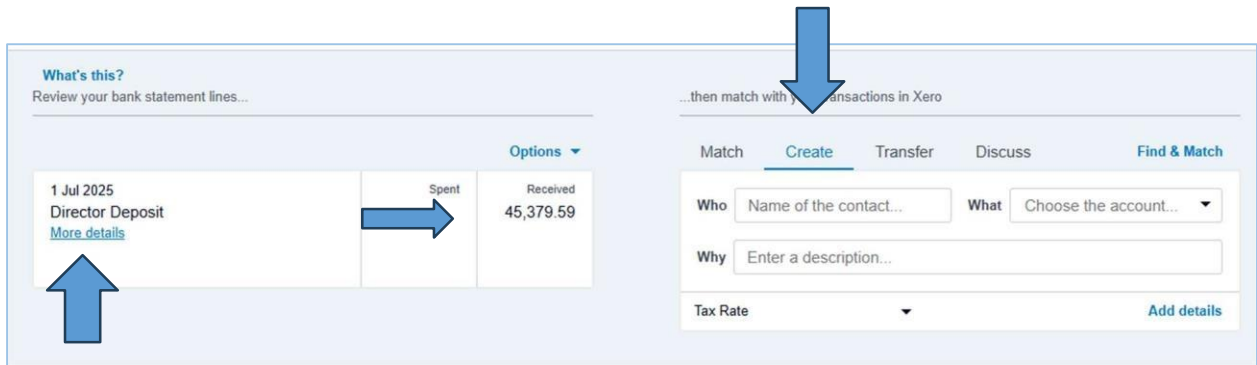
TRANSFER

- If you have moved money from one business bank account to another, here (Petty cash to bank accounts), you can account for this transaction by using the "Transfer" tab.

DISCUSS

- If further investigation is needed, or another staff member needs to provide more information about a transaction, you can use the 'discuss' function.
- This will allow the user to leave a note attached to the transaction.

For the first transaction, which is a Deposit from the director, it's an income we are receiving into the Bank since we don't have an invoice or bills for it, we'll be using the create function.



What's this?
Review your bank statement lines...

	Spent	Received
1 Jul 2025 Director Deposit More details		45,379.59

Options ▾

...then match with your transactions in Xero

Match **Create** Transfer Discuss [Find & Match](#)

Who What

Why

Tax Rate [Add details](#)

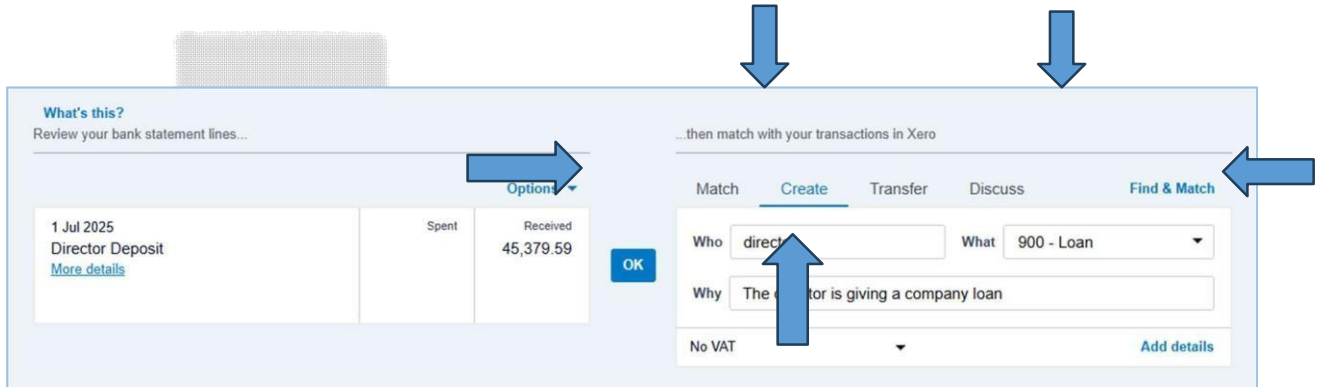
Fill in the Details

Who: Director

Account: 900 Loans

Why: The director is giving a company loan

Select **No VAT**



What's this?
Review your bank statement lines...

	Spent	Received
1 Jul 2025 Director Deposit More details		45,379.59

Options ▾

...then match with your transactions in Xero

Match **Create** Transfer Discuss [Find & Match](#)

Who What

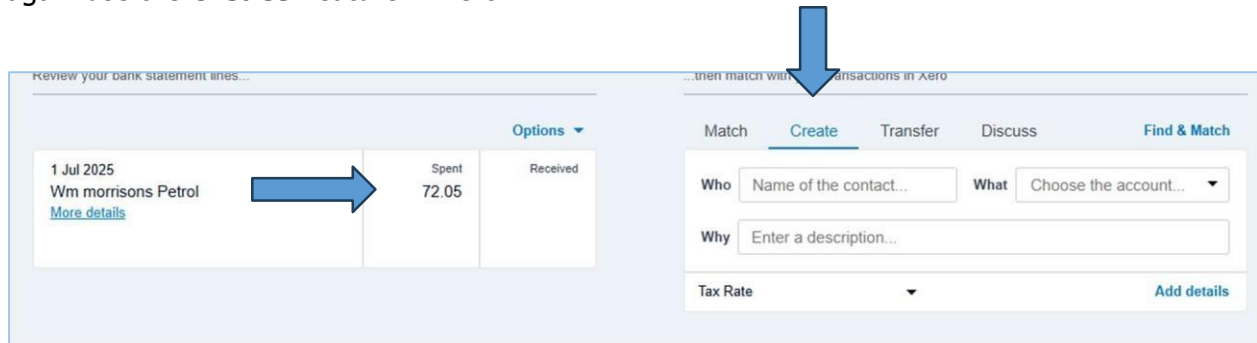
Why

No VAT [Add details](#)

OK

After filling in the information, click on **OK**, and the transaction will be reconciled into Xero.

The next one is Wm Morrison's Petrol. Again, we don't have an invoice for this one as WM Morrisons wasn't our supplier since it is being paid out from our bank, it's an expense we'll again use the **create** Feature in Xero.



Review your bank statement lines...

	Spent	Received
1 Jul 2025 Wm Morrisons Petrol More details	72.05	

Options ▾

...then match with your transactions in Xero

Match **Create** Transfer Discuss Find & Match

Who What

Why

Tax Rate [Add details](#)

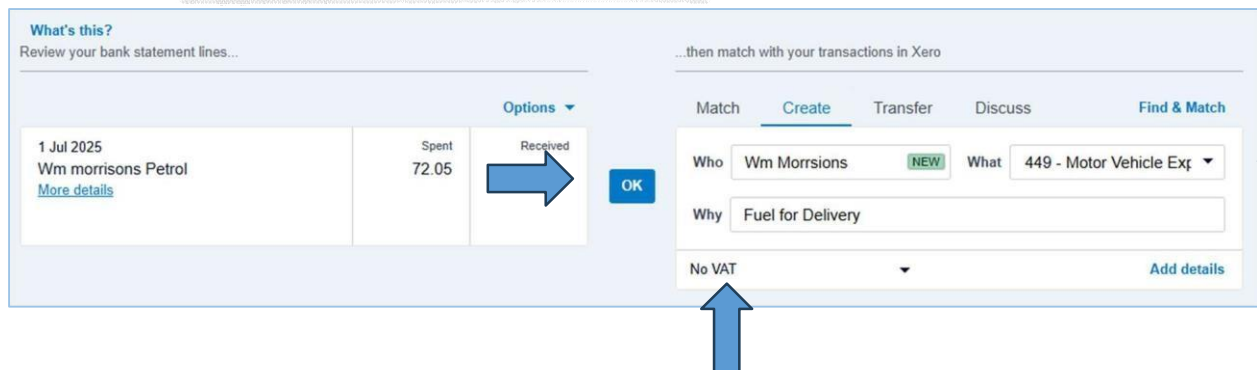
Fill in the Details

Who: Wm Morrisons

Account: 449 Motor Vehicle Expense

Why: Fuel for Delivery

Select **No VAT**



What's this?
Review your bank statement lines...

	Spent	Received
1 Jul 2025 Wm Morrisons Petrol More details	72.05	

Options ▾

...then match with your transactions in Xero

Match **Create** Transfer Discuss Find & Match

Who NEW What

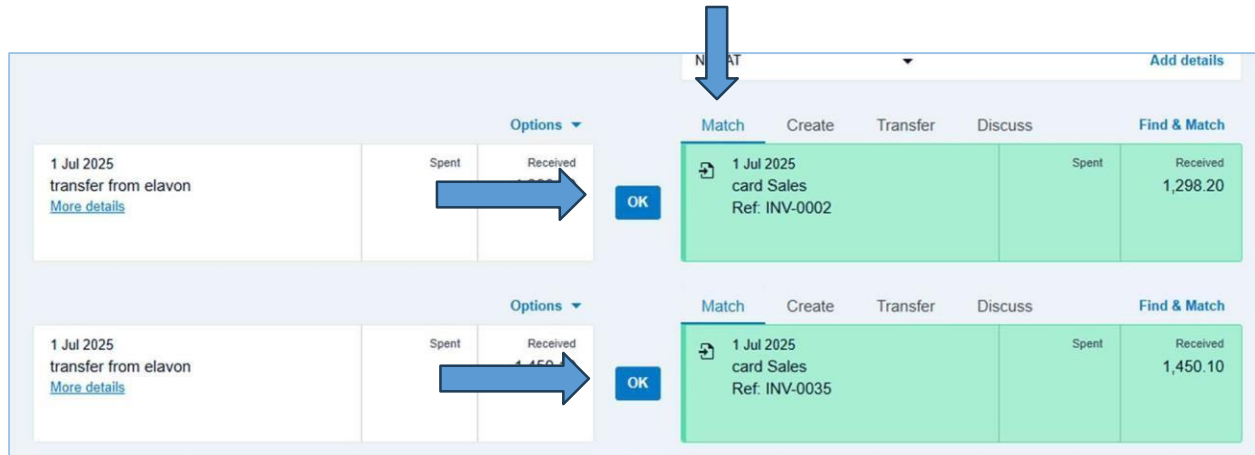
Why

No VAT [Add details](#)

OK

After filling in the information, click on **OK**, and the transaction will be reconciled into Xero.

- For the transactions that are either payments to the suppliers going out from the Bank, or Receipts from Customers who we issued invoices, Xero Will Automatically highlight them as **green**, which means that an existing invoice or a bill has been suggested as a **match** for the banking transaction.



Click on **OK**, and the transaction will be reconciled into Xero.

Bank Transactions

List

DATE	DESCRIPTION	TRANSACTION TYPE	CODE	VAT
01/07/2017	Director's Loan	Create	Create Who- Director What- 900- Loan	No VAT
01/07/2017	VM Morrison petrol	Create	Create Who- petrol What- 449- Motor expense	No VAT
01/07/2017	Transfer from Elavon Financial Services DAC Reference	Match	Match with card sales	N/A
01/07/2025	Transfer from Elavon	Match	Match with card sales.	N/A
03/07/2025	Asda Park Royal	Create	Create Who- Petrol What- 449- Motor Expenses	No VAT
05/07/2025	Card payment to Facebook	Create	Create Who- Facebook What- 400 Advertisement	No VAT
06/07/2025	Payment to Google Ireland	Create	Create who- Google What- 400 Advertisement	No VAT
08/07/2025	Bank Charges	Create	Create who- Bank charges What- 404 bank fees	No VAT
08/07/2025	Domestic Distribution	Match	Match with the Domestic Distribution transaction	N/A

10/07/2025	Cash withdrawn	Transfer	Transfer to Petty Cash Account from Bank account	N/A
12/07/2025	Transfer from Elavon	Match	Match with card sales.	N/A
14/07/2025	Cash withdrawn	Transfer	Transfer to Petty Cash Account from Bank account	N/A
15/07/2025	CCL	Match	Match with the transaction	N/A
15/07/2025	Rosita Wilk	Match	Match with the transaction	N/A
15/07/2025	Rent Charges	Create	Create Who- Rent What- 469- Rent	No VAT
15/07/2025	HMRC PAYE	Create	Create Who- HMRC What- 825 VAT	No VAT
16/07/2026	Cash withdrawn	Transfer	Transfer to Petty Cash Account from Bank account	N/A
17/07/2025	Cory Remer	Match	Match with the transaction	N/A
17/07/2025	Alex Benevente	Match	Match with the transaction.	N/A
17/07/2025	Connect Distributions	Match- Split	In This Transaction, we are Partly Paying Split Transaction And pay 10.43 to clear the payment going out from the bank.	N/A
18/07/2025	Domestic Distribution	Match	Match with the transaction.	N/A
21/07/2025	Transfer from Elavon	Match	Match with the card sale transaction	N/A

23/07/2025	Cory Remer	Match	Match with the transaction	N/A
24/07/2025	Cash Withdrawn	Transfer	Transfer to Petty Cash Account from Bank account	N/A
25/07/2025	Domestic Distributor	Match	Match with the transaction	N/A
26/07/2025	Utilities and Rates	Create	Create- Utilities and Rates What- General Expenses	No VAT
27/07/2025	Elevon Charges	Create Should be Supplier Payment, but we don't have the same Amount in Card sales. So, we need to create a new transaction for card sales.	Create- Who- Card Sales What 201 card sales	No VAT
28/07/2017	Domestic Distribution	Match- Overpayment	Domestic Distribution Overpayment- Supplier payment	N/A
30/07/2025	Wages- Rachel	Create	Create Who- Rachel What- Salaries	No VAT
30/07/2025	Wages- Peter	Create	Create Who-Peter What- Salaries	No VAT
30/07/2025	Wages- Neha	Create	Create Who- Neha What- 477 Salaries	No VAT
30/07/2025	Wages- Tom	Create	Create Who-Tom What- Salaries	No VAT
30/07/2025	Wages- Diana	Create	Create Who- Diana What- 477 Salaries	No VAT
30/07/2025	Wages- Sandy	Create	Create Who- Sandy What- 477 Salaries	No VAT

01/08/2025	Tesco	Create	Create Who- Petrol What -449 motor expense	No VAT
05/08/2025	Amazon	Create	Create Who- Amazon What - 400 Advertisement	No VAT
25/08/2025	Domestic Distribution	Match- Split	Match the supplier invoice and the rest of the amount As you can see, the amount of £892 in the bank, but the invoice is for 892.80, we need to make a minor adjustment using Split	N/A
27/08/2025	Domestic Distribution	Match- Split	Match the supplier invoice and the rest of the amount As you can see, the amount of £446 in the bank, but the invoice is for 446.40, we need to make a minor adjustment using Split	N/A
29/08/2025	Elevon Charges	Create Should be Supplier Payment, but we don't have the same Amount in Card sales. So, we need to create a new transaction for card sales.	Create- Who- Card Sales What 201 card sales	No VAT
06/09/2025	Access Self Storage	Create As we're not sure about the correct nature of this, we can post it as a Suspense account.	Create Who- Self Storage what 850 Suspense	No VAT
20/09/2025	Lincoln Olvera	Match	Match with the transaction	N/A
29/09/2025	Sallie Burton	Match	Match with the transaction	N/A

Split Function in Bank Reconciliation

In Xero accounting software, the Split function is used when a single bank transaction needs to be matched to multiple entries in your accounting records.

To use the split function, first click on **Match**.

The screenshot shows the 'Match' tab in the Xero interface. On the left, there is a transaction card for '17 Jul 2025 connect' with a 'Spent' amount of 10.43. To the right, the 'Match' tab is active, showing fields for 'Who' (Name of the contact...), 'What' (Choose the account...), 'Why' (Enter a description...), and 'Tax Rate'. A blue arrow points from the 'Options' dropdown to the 'Match' tab.

Tick the transaction from the match list that we want to **split**.

The screenshot shows the 'Match' list in the Xero interface. The 'Match' tab is active. Below the transaction card, there is a section titled '1. Find & select matching transactions'. It includes search filters for 'Show Received Items' and 'Show GBP items only'. A table lists matching transactions with columns for Date, Name, Reference, Spent, and Received. The transaction '17 Jul 2025 Connect Distributors' is selected, and the 'Split' button is highlighted. A blue arrow points to the checkbox for this transaction, and another blue arrow points to the 'Split' button.

Date ↓	Name	Reference	Spent	Received
☐ 5 Jul 2025	BES	5570	74.76 GBP	
☐ 5 Jul 2025	BES	14364	130.11 GBP	
☐ 6 Jul 2025	Civica	CWPT00	55.00 GBP	
☐ 15 Jul 2025	CCL	1507982	35.93 GBP	
☒ 17 Jul 2025	Connect Distributors	201210311105	16.38 GBP	

Click on **Split**

Split transaction

Split this transaction if you need to record a part payment.

Balance	GBP 16.38
Part payment	10.43
Remaining amount	GBP 5.95



After that, the amount will be split into two, and you'll be able to reconcile it.

Options ▾

17 Jul 2025 connect More details	Spent 10.43	Received
--	----------------	----------



Match

Discuss

17 Jul 2025 Connect Distributors	Spent 10.43	Received
-------------------------------------	----------------	----------

Click on **Ok** it's reconciled.

Bank transfers in Xero

In Xero, the Transfer function in bank reconciliation is used when **money moves between two of your own accounts.**

Click on **Transfer**



Options ▾ Match Create Transfer Discuss Find & Match

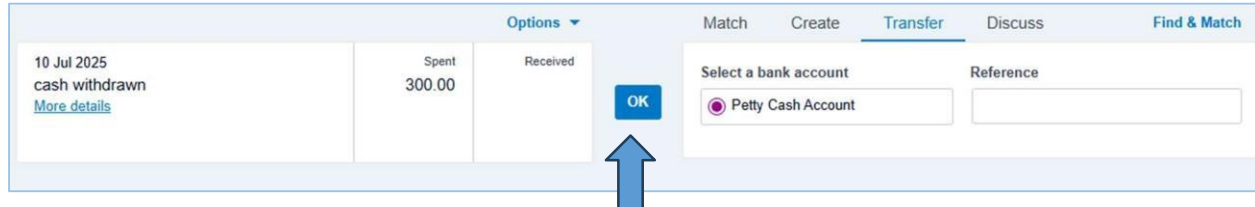
Who Name of the contact... What Choose the account... ▾

Why Enter a description...

Tax Rate ▾ Add details

10 Jul 2025 cash withdrawn More details	Spent 300.00	Received
---	-----------------	----------

Select the **Bank** that you want to transfer it to and click **ok**.



Options ▾ Match Create Transfer Discuss Find & Match

Select a bank account Reference

☒ Petty Cash Account

OK

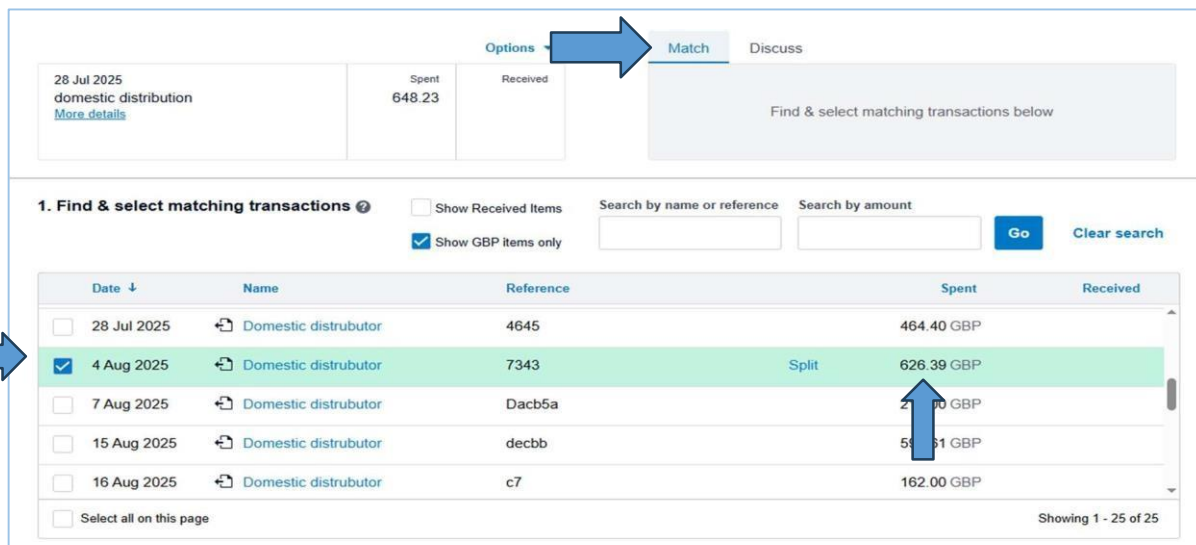
10 Jul 2025 cash withdrawn More details	Spent 300.00	Received
---	-----------------	----------

Overpayment in Xero Bank Reconciliation

In Xero bank reconciliation, the **Overpayment function** is used when a **customer pays you more than the amount you invoiced**.

An **overpayment** happens when the payment received is **greater than the invoice total**.

In Xero, to do an **over-payment** first, click on **match**, find the Amount that is closest to the amount we have gotten in the bank, which is **646.23**; in the case of **domestic distribution**, it's **626.39**.



Options ▾ Match Discuss

Find & select matching transactions below

1. Find & select matching transactions ⓘ

☐ Show Received Items ☒ Show GBP items only

Search by name or reference Search by amount

Go Clear search

Date ↓	Name	Reference	Spent	Received
☐ 28 Jul 2025	Domestic distributor	4645	464.40 GBP	
☒ 4 Aug 2025	Domestic distributor	7343	626.39 GBP	
☐ 7 Aug 2025	Domestic distributor	Dacb5a	21.00 GBP	
☐ 15 Aug 2025	Domestic distributor	decbb	50.81 GBP	
☐ 16 Aug 2025	Domestic distributor	c7	162.00 GBP	
☐ Select all on this page				

Showing 1 - 25 of 25

After selecting the Invoice, click on **New Transaction** and select **Spend Money**.

The screenshot shows a table of transactions with columns: Date, Name, Reference, Spent, and Received. The transaction for 4 Aug 2025 is selected. Below the table, a dropdown menu for 'New Transaction' is open, showing options: 'Spend Money' and 'Transfer Money'. A blue arrow points from the 'Spend Money' option to the 'New Transaction' dropdown.

Date ↓	Name	Reference	Spent	Received
☐ 25 Jul 2025	Domestic distributor	5695	879.00 GBP	
☐ 27 Jul 2025	Domestic distributor	4470	310.80 GBP	
☐ 28 Jul 2025	Domestic distributor	4645	464.40 GBP	
☒ 4 Aug 2025	Domestic distributor	7343	626.39 GBP	
☐ 7 Aug 2025	Domestic distributor	Dacb5a	210.00 GBP	

2. View your selected transactions. Add new transactions, as needed.

☒ 4 Aug 2025 Domestic distributor 7343 626.39 GBP

New Transaction ▼
Spend Money
Transfer Money

Click on **Direct Payment** and then select **Overpayment**.

The screenshot shows the 'Spent as' dropdown menu with 'Direct Payment' selected. The 'To' field is 'domestic distributor', the 'Date' is '28 Jul 2025', and the 'Reference' is empty. A blue arrow points to the 'Overpayment' option in the dropdown menu.

2. View your selected transactions. Add new transactions, as needed. ?

Spent as Direct Payment ▼
Direct Payment
Prepayment
Overpayment

To domestic distributor Date 28 Jul 2025 Reference

GBP British Pound

Here you had one invoice for £627. We'll select that invoice now, and you will sort of £21.

Create a new overpayment transaction, and now you will have 2 transactions to Reconcile with the amount from the bank.

The screenshot shows the 'Overpayment' transaction form. The 'Spent as' dropdown is set to 'Overpayment'. The 'To' field is 'domestic distribution', the 'Date' is '28 Jul 2025', and the 'Reference' is empty. The 'Currency' is 'GBP British Pound'. Below the form is a table with columns: Description, Amount, Account, Tax Rate, and Amount GBP. The table shows a single row with '21.84' in the 'Amount' and 'Amount GBP' columns. The 'Subtotal' is '21.84' and the 'TOTAL' is '21.84'. A blue arrow points to the 'Save Transaction' button.

2. View your selected transactions. Add new transactions, as needed. ?

Spent as Overpayment ▼

To domestic distribution Date 28 Jul 2025 Reference

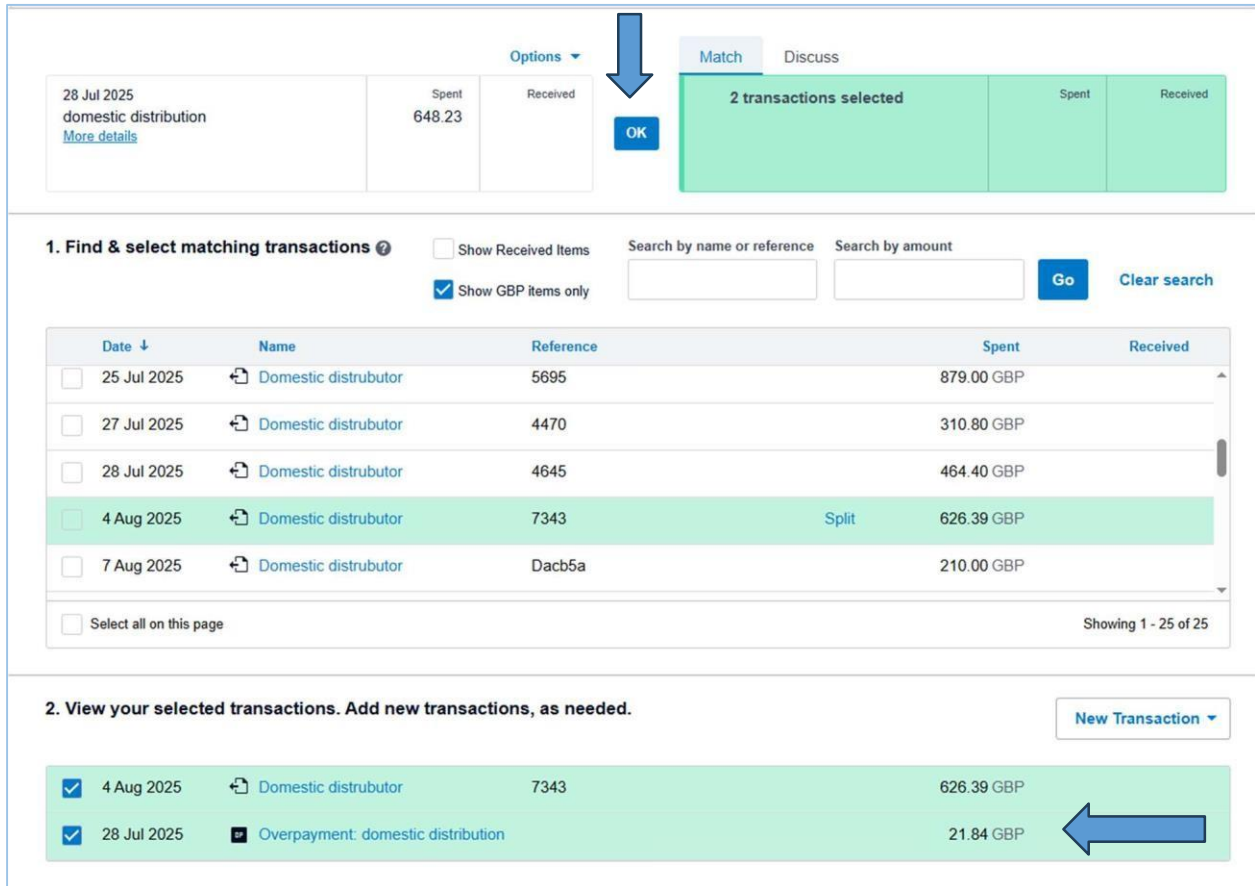
Currency GBP British Pound ▼

Description	Amount	Account	Tax Rate	Amount GBP
::	21.84	800 - Accounts Payable	No VAT	21.84

Subtotal 21.84
TOTAL 21.84

Save Transaction Cancel

Click on **Save Transaction**.



The screenshot shows the 'Match' tab of the reconciliation interface. At the top, a summary box displays a transaction for '28 Jul 2025 domestic distribution' with a 'Spent' amount of 648.23. A blue arrow points to the 'OK' button in this summary box. Below this, a table shows '2 transactions selected' for matching. The main section, '1. Find & select matching transactions', includes search filters and a table of transactions. The table lists transactions from 25 Jul 2025 to 7 Aug 2025, with the transaction on 4 Aug 2025 highlighted in green. The second section, '2. View your selected transactions. Add new transactions, as needed.', shows a list of selected transactions. The transaction on 28 Jul 2025, 'Overpayment: domestic distribution' for 21.84 GBP, is highlighted in green with a blue arrow pointing to it.

Options ▼

28 Jul 2025
domestic distribution
[More details](#)

Spent
648.23

Received

OK

Match Discuss

2 transactions selected

Spent Received

1. Find & select matching transactions ? ☐ Show Received Items ☒ Show GBP items only

Search by name or reference Search by amount

Go Clear search

Date ↓	Name	Reference	Spent	Received
☐ 25 Jul 2025	Domestic distributor	5695	879.00 GBP	
☐ 27 Jul 2025	Domestic distributor	4470	310.80 GBP	
☐ 28 Jul 2025	Domestic distributor	4645	464.40 GBP	
☒ 4 Aug 2025	Domestic distributor	7343	626.39 GBP	Split
☐ 7 Aug 2025	Domestic distributor	Dacb5a	210.00 GBP	

☐ Select all on this page Showing 1 - 25 of 25

2. View your selected transactions. Add new transactions, as needed. **New Transaction** ▼

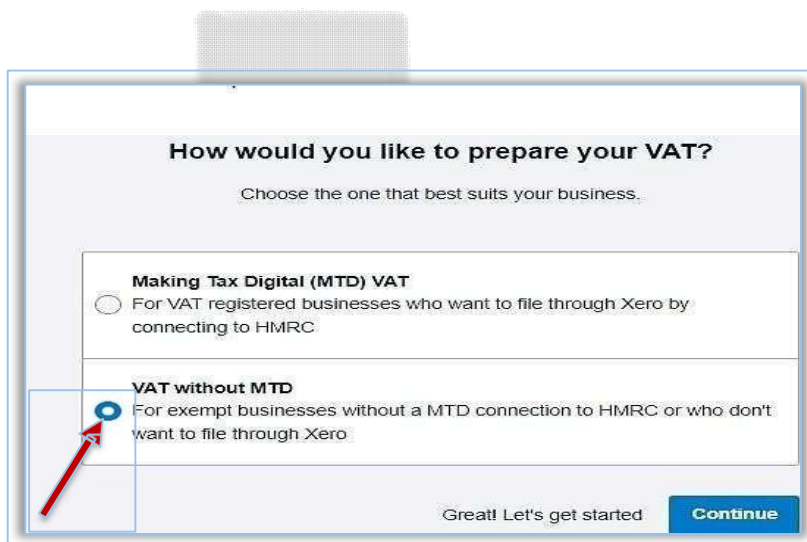
☒ 4 Aug 2025	Domestic distributor	7343	626.39 GBP
☒ 28 Jul 2025	Overpayment: domestic distribution		21.84 GBP

This is what it'll look like after creating an overpayment.

Click on **Ok**, and it's reconciled.

Vat return

Click on **Tax** and then **VAT returns**.



Click on **VAT without MTD**

Enter the Starting date of the Quarter and the ending date.

Start Date: 01 July 2025

End date: 30 September 2025

Then **Create** VAT.

Select a date range to create a VAT Return Accrual • Quarterly [Edit](#)

Start date End date

01 July 2025 to 30 September 2025 Create

VAT Return Transactions by VAT box Transactions by tax rate

Retail Electric Ltd VAT Number 123456789

Accrual • Quarterly • Late claims not included

VAT Calculations

Box 1	VAT due in the period on sales and other outputs	Adjust
Box 2	VAT due in the period on acquisitions of goods made in Northern Ireland from EU Member States	Adjust
Box 3	Total VAT due (the sum of boxes 1 and 2)	
Box 4	VAT reclaimed in the period on purchases and other inputs (including acquisitions from the EU)	Adjust
Box 5	VAT to Pay HMRC	

Sales and Purchases Excluding VAT

Box 6	Total value of sales and all other outputs excluding any VAT	Adjust
Box 7	Total value of purchases and all other inputs excluding any VAT	Adjust

EC Supplies and Purchases Excluding VAT

Box 8	Total value of all supplies of goods and related costs, excluding any VAT, to EU member states	Adjust
Box 9	Total value of all acquisitions of goods and related costs, excluding any VAT, from EU member states	Adjust

Main VAT Return Boxes

Box 1 – VAT due on sales

- VAT you charged on your sales (output VAT)

Box 2 – VAT due on EU acquisitions

- VAT on goods bought from EU countries (less common now post-Brexit)

Box 3 – Total VAT due

- Box 1 + Box 2

Box 4 – VAT reclaimable on purchases

- VAT you paid on business expenses (input VAT)

Box 5 – Net VAT to pay or reclaim

- **Box 3 – Box 4**
- This is what you either:
 - Pay to the tax authority
 - Or reclaim

Box 6 – Total value of sales (excluding VAT)

- Net sales value

Box 7 – Total value of purchases (excluding VAT)

- Net purchases value

Box 8 – EU sales

- Value of goods sold to EU countries (if applicable)

Box 9 – EU purchases

- Value of goods bought from EU countries

Output VAT is the tax you **charge your customers** when you sell goods or services, or VAT charged on sales.

Input VAT is the tax you **pay on your business purchases**.

- You can export your VAT report to Excel as well. The option is on the right-hand side.
- Check **with the model answer and correct it.**
- If your VAT return figures match the model answer, then finalise VAT return.
- For practical training purposes, you can't send the VAT return to HMRC. In a real scenario, first, you need to register as MTD online. From every bookkeeping software you chose to register as MTD. Once you have registered as MTD for your business, you will be able to send the VAT return to HMRC.
- All VAT-registered businesses need to file their VAT returns using our MTD VAT return. This filing process replaces all previous filing methods, including filing through HMRC's VAT online services.

